

Global Air Tech

Global Air Tech: Airline supply under the microscope. Maintain Outperform on Amadeus and Market-Perform on Sabre



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AI was dethroned as the hottest topic at air tech earnings, as investor focus shifted to near-term volume trends, and pressure on these following the outbreak of war in the Middle East and the rise in fuel prices. Q1 results were solid, despite cancellations weighing on both bookings and passengers boarded, with a more pronounced impact at Amadeus than Sabre given the regional footprints. However, the former was able to offset this through its broad IT product portfolio, with upselling, Nevio revenues, professional services and rebooking all contributing. Looking ahead, airlines are adjusting capacity dynamically, and we see particular risk to winter capacity should fuel remain expensive and/or demand worsen. We remain conviction buyers of Amadeus, supported by its low leverage, scale and strong product innovation, and maintain Sabre at Market-Perform, given persistently high leverage that we expect to remain above 5x through the end of the decade.

A robust Q1. Amadeus' results were strong, as upselling and other solutions mitigated the impact of geopolitical headwinds to volume. Somewhat surprisingly, full-year guidance was maintained despite the geopolitical impact on air travel: we still see downside risk to this year's volume targets as airlines decide on winter capacity. Sabre, which has lower direct exposure to the conflict, reported its strongest air booking growth in over two years (+6%) despite cancellations. Its EBITDA guidance for the full year was maintained, despite a modest reduction in booking volume expectations (from MSD to LSD-MSD).

Airlines are reducing schedules ... The world's airlines have reduced capacity since the conflict, with the Middle East most impacted by restrictions, and other carriers trimming schedules to better absorb the c.70% increase in jet fuel prices versus pre-conflict levels. Global schedules are now flat YoY in Q2 and +3.9% in Q3. This represents a mid-single-digit decline in Q2 vs pre-conflict expectations and a low-single-digit shortfall in Q3. Amadeus and Sabre expect around 3% volume growth for the full year, supported by a recovery in H2.

... with downside risks ahead. Air Tech stocks generate profit from volume, while airlines rely on both volumes and fares, leading to a divergence in interests. The risk of capacity cuts remains, as despite a robust fare environment, and in our view if jet fuel prices remain elevated, the small reductions announced so far will not be enough. We see winter as more exposed to potential cuts, given seasonally lower contribution margins. We also see shorter stagerlength routes as more likely to be cut, given their higher share of variable costs (i.e. lower contribution margins), suggesting seats may fall by more than ASKs if airlines start to pull back on schedules.

Remain Outperform on Amadeus, Market-Perform on Sabre. In the current volatile environment, our medium-term thesis remains unchanged. We continue to view Amadeus as well positioned as the leader in Air IT, with Air Distribution, in our view, more of an ex-growth cash cow. We have slightly reduced our 2027 forecasts for Amadeus to reflect risks to capacity, while incorporating IDEMIA into our forecasts. We revise Sabre numbers higher following the strong quarter, but still expect its leverage to remain above 5x net debt/EBITDA through the end of the decade. We maintain Outperform on Amadeus and Market-

Perform on Sabre.

BERNSTEIN TICKER TABLE

Ticker	Rating	Cur	12 May 2026	Price Target	TTM	Adjusted EPS				Adjusted P/E (x)		
			Closing Price		Rel. Perf.	Cur	2025A	2026E	2027E	2025A	2026E	2027E
AMS.SM (Amadeus)	O	EUR	52.40	75.00	(39.5)%	EUR	2.92	3.31	3.68	17.9	15.8	14.2
OLD								3.16	3.85			
SABR (Sabre)	M	USD	1.83	1.75	(64.2)%	USD	(0.04)	(0.02)	0.08	(48.6)	(94.9)	21.8
OLD				1.50				(0.03)	0.04			
EDME			1,514.65									
SPX			7,444.25									

PRICE TARGET CHANGE / ESTIMATE CHANGE IN BOLD

O - Outperform, M - Market-Perform, U - Underperform, NR - Not Rated, CS - Coverage Suspended

Source: Bloomberg, Bernstein estimates and analysis.

INVESTMENT IMPLICATIONS

Amadeus (Outperform, €75.00) is the largest player in Air distribution and Air IT. It is skewed to better businesses, with >60% of EBITDA contribution (and rising) coming from Air IT and Hospitality, leaving 40% - and falling - coming from the ex-growth GDS business. Amadeus continues to take share among GDSs in distribution, and keeps picking up new contracts in Air IT. The balance sheet is healthy, and the group is returning cash. We see a c. 18% annual TSR in 2027-30 at a constant multiple: 10% annual growth in net income (boosted also by the acquisition of IDEMIA), with a 4% dividend yield and 4% buyback (which keeps leverage constant, but we do not rule out the possibility of further accretive M&A). The products are well-invested and well-positioned for the future. Nevio also looks likely to lead to further contract wins in Air IT, and likely to pick up steam following the announcement of deals with British Airways, Air France-KLM, and Lufthansa Group. Further eventual share gains for Amadeus, either from competitors or through newly-outsourced contracts, continue to look likely. We remain Outperform.

Our price target of €75.00 is set at 20.1x our 2027 EPS estimate of €3.7. We remain convinced of Amadeus's ability to compound returns in the high-teens, and see the group as a highly appealing medium-term holding. A moderation of (in our view overdone) fears around AI disruption would be the clearest path to a re-rating.

Sabre (Market-Perform, \$1.75) is far more skewed to the ex-growth GDS market, at c. 80% of revenues. Its smaller IT Solutions business depends on a few large customers (chiefly American at c. 35% of volumes). In both segments it is overweight North America and more levered to booking and passenger trends in this region. Leverage remains stubbornly high: while there is no meaningful near-term refinancing risk, with debt maturities minimal until 2029, we see only very slow organic deleveraging. On our assessment that the GDS industry is essentially ex-growth, we have net debt / EBITDA remaining above 5x until the end the decade. Investors should bear in mind that the airline industry is cyclical, and a future downturn will come. Absent a significant improvement in earnings, Sabre risks going into that eventual downturn with a too-fragile balance sheet.

We value Sabre at 7.0x FY+1 EV/EBITDA, down from 7.4x, which on our 2027 EBITDA estimate provides our target price of \$1.75, and we rate the company Market-Perform.

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Sector research

[Amadeus: Artificial Intelligence... Sooner or Later - Risk-averse airlines mean slow change for Air Tech](#)

[Amadeus: AI defenses in Paris. Roadshow takeaways from this week's investor meetings](#)

[Global Air Tech: Strong AI defences, weak AI defences. Downgrading Sabre to Market-Perform, TP \\$1.50](#)

[Amadeus: Air IT's four defences against AI disruption](#)

[Amadeus: The GDS is not about to vanish... But shares are priced as though it will](#)

[Global Air Tech: The year of AI disintermediation? Plenty of talk, limited action \(2026 outlook\)](#)

DETAILS

FOCUS TOPIC: MIDDLE EAST CONFLICT AND AIRLINE CAPACITY FOR 2026 AND BEYOND

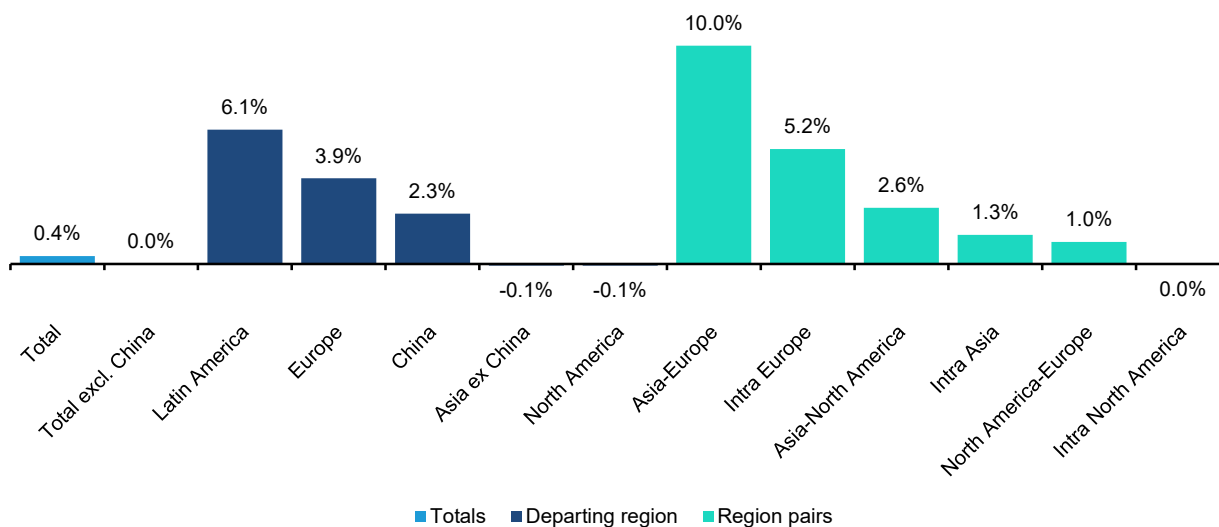
AIRLINE CAPACITY RISKS REMAIN AHEAD

The Middle East conflict has created both direct and indirect headwinds for air travel. There was initially a sharp reduction in flying in the region on security concerns, with significant cancellations impacting booking volumes. At the same time, higher fuel costs are putting pressure on an already low-margin industry, forcing airlines into a capacity response. Q2 schedules now appear largely flat YoY, while Q3 is more resilient (+3.9% globally). For now, airlines continue to highlight a strong demand and fare environment — particularly on long-haul routes — which is helping to offset cost pressures. Booking visibility diminishes into winter, where we see capacity as being at greater risk, on seasonally lower contribution margins and lower hedging (for those that hedge). For Air Tech, revenues are primarily volume-driven, while airlines rely on a mix of pricing and capacity adjustments, creating a divergence in interests. With airlines still retaining flexibility to cut capacity any further demand weakness could translate into additional cuts, ultimately weighing on bookings and passengers boarded.

- Middle East conflict creates volume headwind, with effects both direct...** The first two months of the year were broadly stable. However, the war in the Middle East has since changed the outlook, with the most immediate impact being a reduction in flying across the region. Many airlines from other regions canceled flights to affected countries, while airlines based in the region are operating well below pre-war activity levels. For the two largest carriers, Emirates is down around 20% and Qatar around 40%. Booking volumes have been impacted even more, as figures are reported net of cancellations. For Amadeus, the Middle East represents a high-single-digit share of both bookings and passengers boarded.
- ...And indirect, with capacity cuts beyond the Middle East coming.** The typical airline runs at a single digit EBIT margin and spends ~25% of its revenue on fuel. Jet fuel prices have doubled: all else equal, and before the impact of hedging (for those that *do* hedge), margins fall well into the negative double digits. That is clearly unsustainable, and prices need to rise. Airlines largely lack pricing power, and the only reliable way to get unit revenue up is to reduce capacity. Into summer, these cuts have been modest, but if conditions persist, additional cuts in the 5-10% range become plausible. Several carriers, particularly in Europe, are still supported by fuel hedges, but they will become increasingly exposed to spot prices over time. If the industry resists voluntary capacity cuts, these could become involuntary, as weaker airlines cease to exist.
- Current schedule: cuts in Q2, Q3 in wait-and-see mode.** Airline schedules have declined compared with pre-conflict levels, with global capacity currently at +0.4% YoY in Q2 and +3.9% in Q3. This is a mid-single-digit percentage point cut vs pre-conflict expectations in Q2, and slightly below pre-conflict levels in Q3. Regionally, the Middle East has seen the largest cuts, with Emirates operating at 82% of normal capacity as of May 5, Etihad at 73%, and Qatar at 57%, highlighting the disruption to travel in the region. By contrast, Asia-Europe routes are adding capacity, benefiting from the reduction in Gulf connectivity. Elsewhere, capacity cuts have been more limited, with Latin America, Europe, and China remaining among the most resilient regions, still delivering low to mid-single-digit growth, while North America and Asia ex-China are now flat YoY. The Q3 peak season appears, for now, relatively less affected. For the full year, Air Tech providers are assuming c.3% growth, supported by a recovery in the second half of the year: an expectation we see as optimistic.
- From airlines: fewer flights, but fares remain very strong.** Europe's and North America's largest legacy airlines have now reported their Q1 results, with most reducing capacity guidance for the year: United by 5% through September, Delta by 3.5% in Q2, and Air France-KLM, Lufthansa, and IAG by low-single-digit percentages versus prior plans. Meanwhile, airlines point to a strong demand and fare environment, particularly on long-haul routes, while trends in medium-haul and domestic markets remain more mixed depending on hedging levels and competitive intensity. Notably, Lufthansa expects to offset >100% of fuel cost increases in H2, primarily through higher fares adjustments in 2026.
- Airline supply: from summer strength to winter strain?** Air Tech stocks generate revenue from volumes — i.e. bookings and passengers boarded — while airlines rely on a combination of yields (fares) and volumes, meaning their interests can diverge, especially during periods requiring schedule cuts. Airlines currently have around 80% of Q2 capacity booked and roughly 50% for Q3, with visibility likely around 20-30% for Q4. As a consequence, the currently strong fare environment discussed is likely to reflect less than half of the flights on sale. Airlines benefit from a cost base that is 60-80% variable, allowing them to adjust capacity and mitigate losses if needed. Q2 schedules now appear largely finalized, with global capacity at around +0.4% YoY, while Q3 capacity of +3.9% YoY still carry downside risk if current conditions persist. Elevated jet fuel prices — around 70% above pre-conflict levels — are putting pressure on an industry that typically operates on

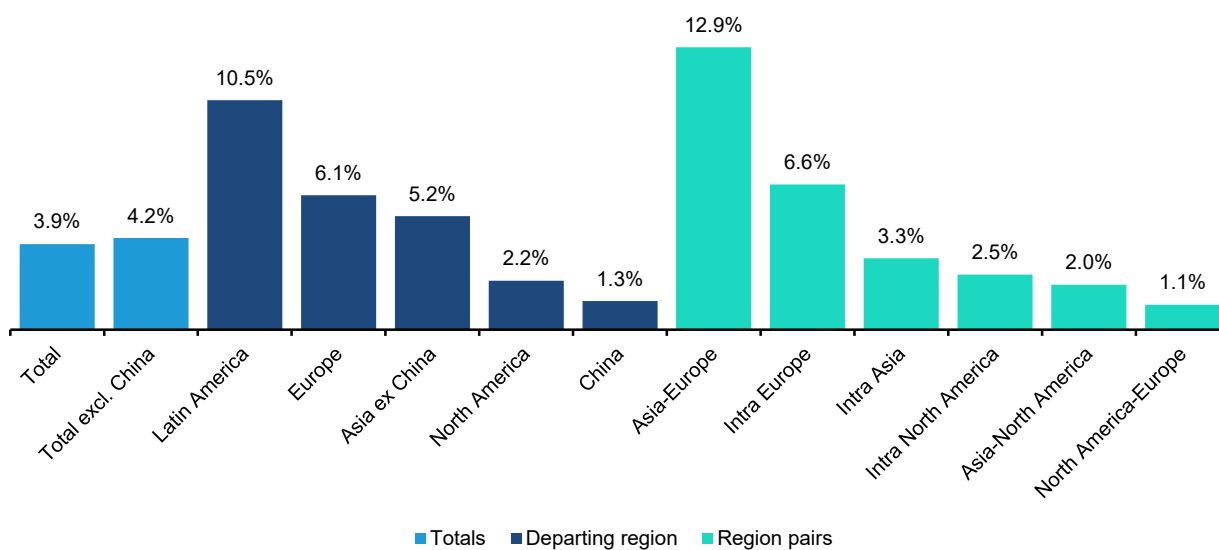
single-digit margins, reinforcing capacity discipline. Looking further ahead, winter is in our view even more exposed to potential cuts given weaker seasonality, increasing macro headwinds and lower visibility, weighing on Air Tech volumes.

EXHIBIT 1: **Global aviation seat capacity, YoY, Q2 2026**



Source: SRS, Bernstein analysis

EXHIBIT 2: **Global aviation seat capacity, YoY, Q3 2026**



Source: SRS, Bernstein analysis

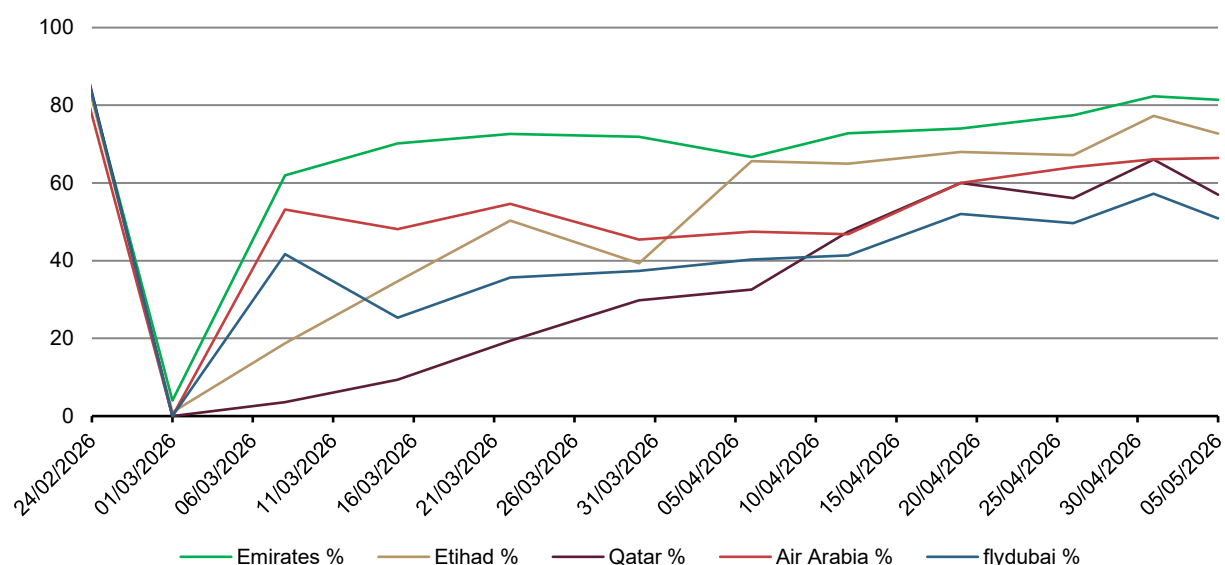
EXHIBIT 3: Airlines continue to announce capacity reductions following the increase in fuel prices

Airlines	% of total airline capacity	Period	Details
United Airlines	5.0%	Till September 2026	Announced in response to fuel costs for most of 2026 (through September)
Delta Air Lines	3.5%	Q2 2026 reduction	Trimming Q2 2026 capacity growth to manage \$2 billion in extra fuel costs
Lufthansa Group	2-4%	Full year 2026	2-4 percentage-points lower ASK growth
IAG	2.0%	Q2 2026 / Q3 2026	2% reduction vs prior Q2 & Q3 plan
Air France KLM	1.0%	Full year 2026	AF-KLM cut its 2026 capacity guidance by ~1pt of growth
Batik Air Malaysia	36% of domestic capacity	Undisclosed	Cites "crisis-mode" environment.
HK Express	6.0%	May - June	Reduction in total frequencies from May 11 through June 30
Cathay Pacific	2.0%	May - June	Consolidation of passenger flights from mid-May to late June
Air Canada	1.0%	June - Oct	Includes cuts to e.g. JFK

Source: Media and company reports, Bernstein analysis

EXHIBIT 4: Middle East carriers are operating at reduced activity levels, with Emirates currently at 82%, Etihad at 73% and Qatar at 57%

Flight count as percentage of average before Feb 28 2026



Source: Flightradar24, Bernstein analysis

Q1 RECAP

Amadeus

- **Beat on the quarter.** Amadeus's Q1 '26 results beat on EBITDA (+5.5%). Net income was 4% ahead.
- **Air IT: 12% revenue growth at constant fx.** In Air IT, passengers boarded increased by +3.1% YoY, and +3.9% excluding the MEA region and drag from the Iran war (as a reminder, a high single digit share of Amadeus's volumes derives from the region). Revenue per PB grew +8.6% at constant fx with upselling, Nevio revenue, professional services and rebooking all adding support. Revenue in the segment was +5% ahead of consensus.
- **Air distribution: 4.6% revenue growth at constant fx.** Air distribution bookings were broadly flat YoY (-0.2%), with a 4%pt drag from the Middle East, by +3.3% YoY. Revenue per booking was especially strong, growing +4.8% YoY at constant currency, despite a likely drag in the Middle East, which overindexes to international bookings. Segment revenue was +1% ahead of consensus.
- **HOS: +9.8 revenue growth at constant fx.** The smaller HOS division saw constant currency revenue growth fall to +9.8% YoY after the sharp acceleration in Q4, resulting in revenue in line with consensus.
- **EBITDA margins ahead.** Amadeus's EBITDA margin was up 80bps YoY at 39.3%, representing a 125bps beat vs consensus expectations. EBITDA ultimately beat by 5.5%. Among the group's main cost lines, cost of revenue grew by +4% YoY, while personnel costs fell -1%.
- **Outlook held.** Amadeus expects to be within the guided range for 2026: surprisingly in our view, given the impact on air travel from the war in the Middle East, and in our assessment a high probability of a capacity slowdown into winter, following the sharp move higher in jet fuel prices (spot and forward). The guide is predicated on a recovery in H2, and global air traffic growing 3% in 2026. As a reminder, the guidance is:

2026 revenue: HSD growth

2026 adj. EBIT margin: stable

2026 FCF: €1.35bn-€1.45bn

2026 Air IT: HSD revenue growth (constant fx), margins slightly dilutive (mix effect)

2026 Air Distribution: MSD-HSD revenue growth (constant fx), stable margin

2026 HOS: low double digit revenue growth (constant fx), expanding margins

Sabre

Numbers: EBITDA above guidance, on higher booking growth. Sabre's quarterly revenue came in at \$760m, a 8% beat versus consensus, with Market place (new name replacing Distribution) +9% and Airline Technology (new name replacing IT solutions) +7% YoY. Adj. EBITDA reached \$159m, above company guidance of \$130m, on higher revenues. As a result, operating income stood at \$116m, a 27% increase YoY (was \$91m in Q1 2025). Q1 FCF reached -\$155m. Q1 passengers boarded were +3% YoY, at 170m. Bookings increased by 6% YoY.

2026 Guidance: EBITDA outlook held at \$585m, Air distribution volume lowered from mid single digit growth to low-mid single digit growth, and negative FCF. Sabre now expects air distribution volumes to see low-mid single digit growth in FY26 (Q2 guided near flat). It sees revenue also growing low-mid single digit for FY26 (Q2 seen flat to nominal growth), and pro forma adj. EBITDA at c. \$585m for FY, unchanged from the FY guide and with \$130m expected for Q2. The company continues to expect FCF of -\$70m and capex of \$80m. The outlook assumes the Middle East war subsides during the second quarter, with a gradual recovery through Q3/Q4.

Initial indications for 2027 point to mid single digit revenue growth, YoY adjusted EBITDA growth, and return to positive free cash flow.

- **EBITDA: \$585m** (unchanged from \$585m)
- **Air distribution volume: low to mid single digit growth** (lowered from mid single digit growth)
- **FCF: -\$70m** (unchanged from -\$70m)

LEARNINGS FROM Q1 EARNINGS

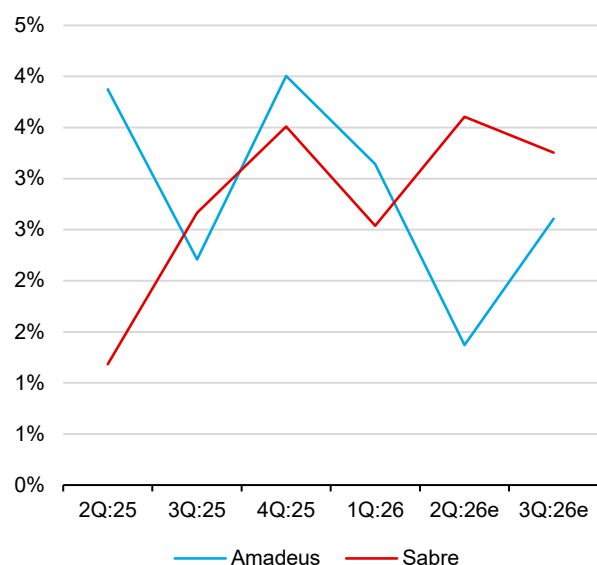
AIR IT: AMADEUS' ADDITIONAL MODULES ACT AS A HEDGE AGAINST DISRUPTION

Amadeus and Sabre recorded broadly similar growth in passengers boarded and revenue in Q1, despite still-significant FX headwinds at the Spanish company (revenue per PB +8.6% at constant fx). Nevertheless, Amadeus benefited from upselling additional modules (upselling, Nevio revenue, professional services and rebooking all adding support). This helps to offset volume declines in the MEA region, representing a high single digit share of both passengers boarded and bookings. The transition to Order Management continues to gain momentum, with Lufthansa Group notably signing for Nevio during the quarter. Looking ahead, we therefore expect airlines in other regions to increasingly make decisions on modernizing their IT infrastructure, with Amadeus Nevio well positioned to attract incremental customers.

- Volumes: The conflict is weighting on 2026.** Passengers boarded increased by 3.1% at Amadeus in Q1 (3.9% excluding MEA), supported by a strong start to the year in January and February. Sabre reported PB growth of 2.5%. Looking ahead, we expect Amadeus to decelerate in Q2 and Sabre to slightly accelerate, based on current schedule data for their respective PSS customers. Amadeus is more exposed to the conflict due to its high-single-digit exposure to the MEA region, while Sabre has a soft comp from Liberation Day and DOGE-induced headwinds from prior year, and benefits from the PSS cutover of Hawaiian. Amadeus also suffers from the end of operations at Navitaire customer Spirit.
- Revenue per PB growing 4% at Amadeus and Sabre.** Despite FX headwinds, Amadeus continues to report rising revenue per passenger boarded, +4% reported (+8.6% at constant FX in Q1). This growth is driven by ongoing upselling, additional Nevio revenues, airline professional services, and rebooking/distribution services, which provide some hedging against volume cuts. Sabre has seen a similar trend, with revenue per passenger boarded up 4%, recovering from -7% YoY in Q4 against a relatively tough comparable base in Q4.
- Capacity cuts vs upselling: can Amadeus hold the line?** Amadeus was particularly vocal during its earnings call, highlighting its ability to offset volume declines through modular upselling, with revenue per booking continuing to rise. This acts as a genuine hedge against declines in passengers boarded, supported by its broad suite of solutions. The company is well positioned across all segments, with the ability to sell additional modules to airlines on a modular basis, underpinned by higher R&D investment and strong product capabilities. While Amadeus has so far maintained its guidance of high-single-digit revenue growth for the year, it appears in our assessment more likely to land at the lower end of the range, with potential downside risk once visibility improves.
- Order management systems: the snowball gathering pace, as Lufthansa contracts for Nevio.** Airlines are increasingly moving towards Order Management Systems. The modernization of IT and eventual replacement of the PSS look set to bring major benefits to airlines: potentially adding 2-3% to unit revenue, which on typical margins may add 25-35% to EBIT. Some airline executives we have spoken to see the potential benefit to industry unit revenues as even larger. During Q1, Lufthansa announced that 9 of its group airlines are set to adopt Nevio. Amadeus seems to broadly agree that a good double-digit revenue per PB uplift is appropriate, although understandably is not sharing details of commercially sensitive and confidential contracts. We expect that the more airlines move, the more other airlines will feel the pressure to undertake their own modernizations. Quoting Amadeus management at the FY 2025 results: "After the major European players, major players in the US, in Asia and the Middle East [are] coming out with RFIs and RFPs. So we really see the market moving, and we expect now a lot more movement than these foundational customers."

EXHIBIT 5: Passengers boarded growth trends across Amadeus and Sabre

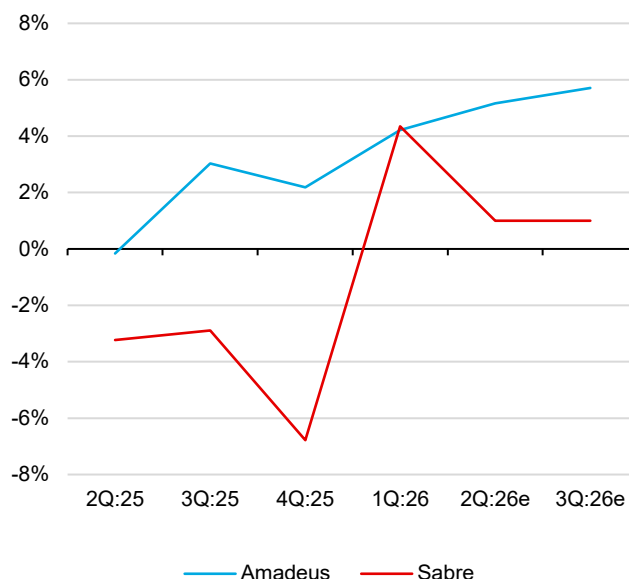
YoY change



Source: Company reports, Bernstein estimates and analysis

EXHIBIT 6: Revenue per PB growth trends across Amadeus and Sabre

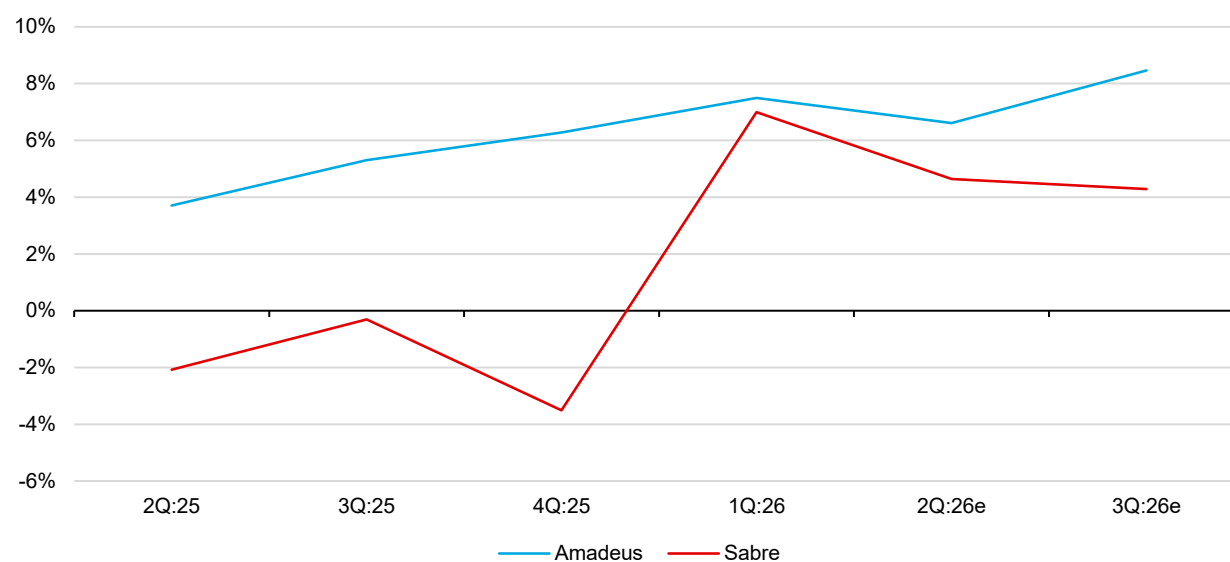
YoY change



Source: Company reports, Bernstein estimates and analysis

EXHIBIT 7: Air IT (IT Solutions) growth trends across Amadeus and Sabre

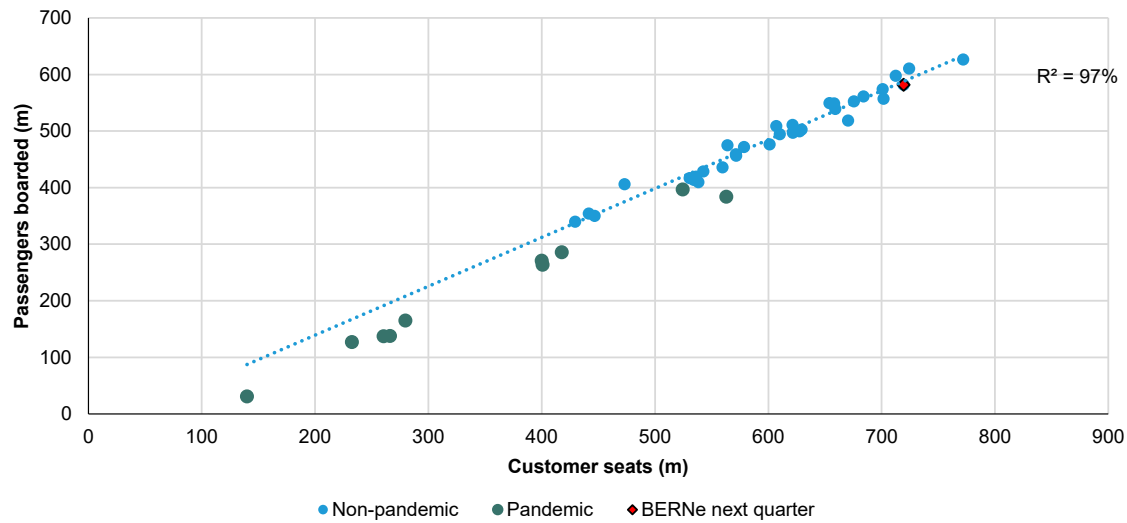
YoY change



Source: Company reports, Bernstein estimates and analysis

EXHIBIT 8: **Our proprietary model suggests Amadeus sees c. 580m passengers boarded in the next quarter**

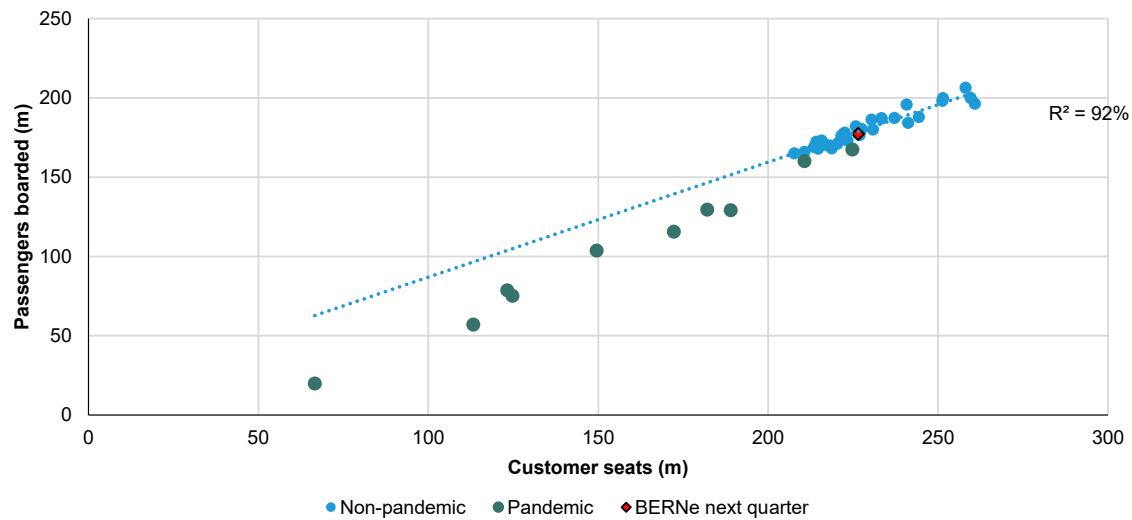
Amadeus PSS customer seats vs passengers boarded



Source: SRS, Company reports, Bernstein analysis

EXHIBIT 9: **Our proprietary model suggests Sabre sees c. 175m passengers boarded in the next quarter**

Sabre PSS customer seats vs passengers boarded



Source: SRS, Company reports, Bernstein analysis

AIR DISTRIBUTION: BOOKINGS IMPACTED BY CANCELLATIONS, 2026 STILL A QUESTION MARK, BUT LONGER-TERM RISKS REMAIN

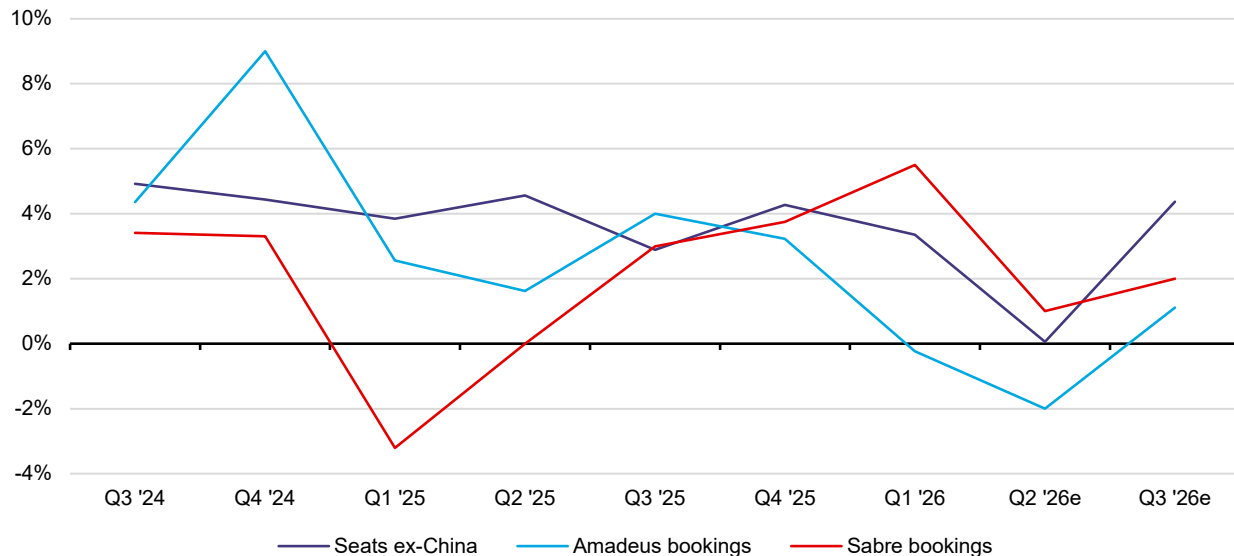
Air Distribution delivered an exceptional quarter, with bookings flat at Amadeus due to cancellations, while Sabre reached +5.5%, benefiting from lower exposure to the conflict as well as strong momentum in North America and corporate travel. Overall, revenue grew +5% for Amadeus at constant currency (reported flat) and +8% for Sabre. Outlooks for both Amadeus and Sabre have softened, with weaker Q2 net bookings, but a recovery still expected in H2. FY 2026 air travel growth is now seen at c.3% by both companies, with downside risks from potential additional capacity cuts, particularly in winter. Air travel demand remains resilient so far, with strong fares — especially on long-haul routes — helping airlines offset fuel cost increases and maintain schedules. However, any further deterioration in demand with the current macro could trigger additional capacity cuts and weigh on Air Tech stocks.

- Sabre continues to outgrow Amadeus this quarter.** Amadeus has outgrown Sabre in Air Distribution volumes since 2023. However, this trend reversed in Q4'25 and Q1'26, with Q1 volumes at -0.2% for Amadeus versus +5.5% for Sabre. Amadeus was growing at a single-digit rate in the first two months, before cancellations in March brought the quarter close to flat. Sabre was exceptionally strong, with +9% growth in the first two months and flat performance in March due to cancellations. Excluding the impact of the Middle East, Amadeus grew +3.8%, although this still trails Sabre. This divergence is likely driven by stronger performance in North America and solid corporate travel demand in the region. However, revenue per booking was stronger at Amadeus on a constant currency basis, at +4.8% YoY compared with +3.3% at Sabre.
- Softening expectations for Amadeus and Sabre, although 2026 is unlikely to see significant capacity cuts.** Expectations for Q2 and the rest of 2026 were a key focus ahead of results. Amadeus expects Q2 bookings to decline (BERNe -2%), while Sabre guides to growth below prior expectations but still above the industry (BERNe +1%). Both companies anticipate an improvement thereafter, with a recovery in H2 and FY 2026 air traffic growth c.3% (vs. 5-6% pre-conflict). While this aligns with current airline schedules, we see downside risks for H2, including potential additional capacity cuts in winter driven by oil prices and pressures on some indebtedness airlines.
- How the demand for air travel is holding? Robust so far.** Europe's and North America's largest legacy airlines have now reported, with most reducing capacity guidance for the year: United by ~5% through September, Delta by ~3.5% in Q2, and Air France-KLM, Lufthansa, and IAG by low-single-digit percentages versus prior plans. The fare environment remains robust, as highlighted by the airlines, particularly on long-haul routes, while trends in medium-haul and domestic markets are more mixed depending on hedging levels and competitive intensity. Lufthansa expects to offset >100% of fuel cost increases primarily through fare adjustments, with IAG using revenue and cost to offset c. 60% of the headwind. However, any further weakening in demand could prompt additional capacity cuts from airlines, which would weigh on both Air Tech stocks.
- AI distribution has displaced NDC as the source of investor concern...** It used to be that GDSs were seen as a melting ice cube as NDC would lead to the disintermediation of travel. Now, GDSs are seen as a melting ice cube as AI will lead to the disintermediation of travel. We see the argument: existing structures border on the absurd, with GDSs' largest "expense" being payments to travel agents as an incentive to use their platforms, and airlines being more than capable of their own offer creation. However, neither the internet (a prior source of disintermediation worry) nor NDC have been able to existentially threaten existing distribution ecosystems to date, and near-term outlooks from both Sabre and Amadeus continue to point to growth.
- ...And while we see the longer term risk, we do not expect near-term challenges.** There is a logical argument, though an uncertain one, that over the very long run, AI spells the end of the travel agent, and consequently the GDS — or at least, diminishes the role of the travel agent to actual services (24/7 help, expense management, monitoring and enforcement of policy compliance). Having an in-house travel manager email a TMC, asking them to book employee x on flight y, is clearly inefficient, and something that technology can help to solve. However, we only expect this change over the long run, as incentives to change in the all-important corporate channel are weak. First, we are likely to see booking capability exist within an LLM environment, with direct leisure passengers adopting it and displacing airline.com bookings. As with NDC, a real incentive must exist to force change. NDC, with its better content and lower prices, barely made a dent in corporate bookings for a decade. Current processes work extremely well for the TMC and the GDS. We expect corporates to be hesitant to undertake process change, until airlines press the big red button of differentiating status accrual by distribution channel (the same risk existed with NDC). That is not obviously imminent, and even when one airline does, we would expect this to be with plenty of advance notice after American Airlines' rapid succession of changes led to a profit warning in 2024.

- **We doubt GDS economics can hold up over the long term.** Over the long term, we expect the GDS share of global bookings to fall, and GDS power over airlines to diminish with it. While corporate travel is a lower share of passengers than it used to be, these are still the highest-yielding passengers, and GDSs and TMCs control access to them. As the balance of power moves in favor of airlines, we expect some carriers to become emboldened to negotiate increasingly aggressively, improving their own economics and lowering those of GDSs.

EXHIBIT 10: Air booking trends across the two GDSs under coverage

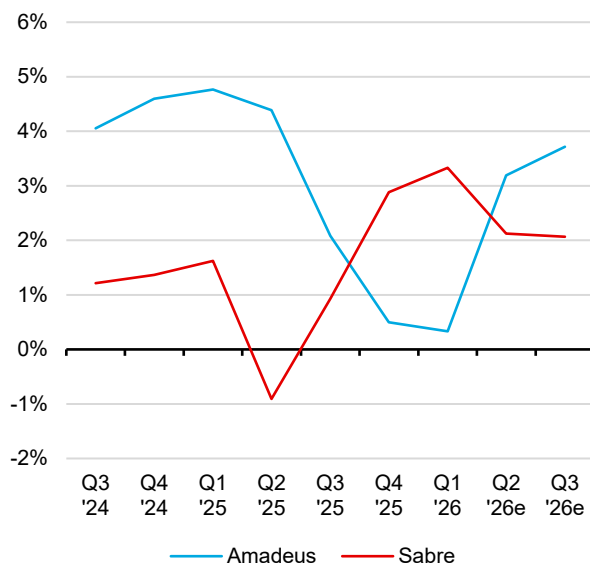
YoY change



Source: Company reports, SRS, Bernstein estimates and analysis

EXHIBIT 11: Revenue per booking trends across the two GDSs under coverage

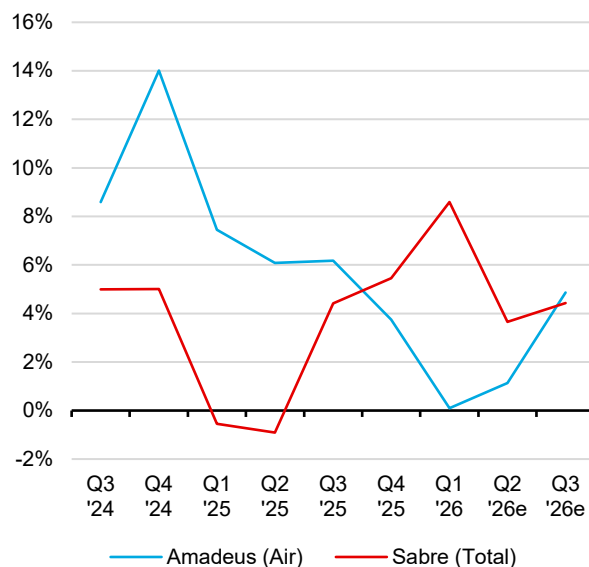
YoY change



Source: Company reports, Bernstein estimates and analysis

EXHIBIT 12: Revenue growth trends across the two GDSs under coverage

YoY change



Source: Company reports, Bernstein estimates and analysis

AMADEUS: EL CONQUISTADOR. OUTPERFORM, TP €75.00

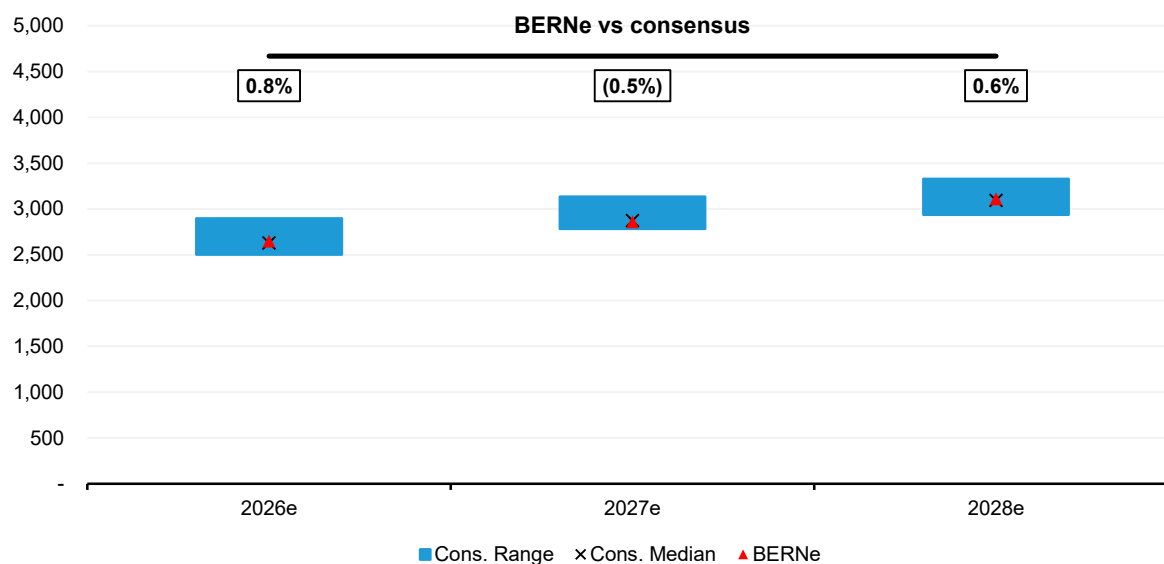
Amadeus is the champion of Air Tech, with the #1 position in market share in both distribution and IT. It serves **the largest share of indirect bookings in air distribution**, with c. 50% of GDS bookings coming through its systems: more than either of its two global competitors Sabre or Travelport. It is even more dominant in Airline IT: **more than 50% of airlines' passenger volumes ex-China are handled by one of its two passenger service systems: Altéa or Navitaire**, which focus on full-service airlines and low-cost carriers respectively and occupy the #1 and #2 spots by passengers boarded, and the company **allocates c. 20% of revenue to investment in R&D**. The group is also growing in hospitality IT, bringing its technological expertise to bear for hotels and other travel businesses. While the best days of the GDS business are behind it, the group is reinvesting cash flows from this mature business into the growth areas of Airlines IT and Hospitality, both of which have structural growth and optionality with new customers.

- **Using scale to build scale.** As the largest incumbent in the sector, Amadeus generates the highest revenues and cash flows. It continues to invest heavily in R&D, with typically 20% of revenues reinvested into improving the product, and this is further augmented with acquisitions of high-quality businesses that are complementary to the portfolio. This shows no sign of slowing down, and constitutes a key competitive advantage for the company through lasting product differentiation.
- **18% 2027-30 TSR at constant multiple...** Amadeus offers an attractive return profile: a 18% constant multiple return, comprising 10% net income growth (boosted by IDEMIA acquisition), a 4% dividend and a 4% buyback (to keep leverage constant). The growth is all driven by the Air IT and HOS segments, while we see Air Distribution broadly ex-growth, and potentially entering decline in the medium to long term. It is possible that further M&A deals arrive over the years to come, and the company has executed smartly here in the past. If so, expect more net income growth and fewer buybacks. In the near-term, growth should be boosted by customer implementations (ANA, Marriott, Accor), accelerating volumes, revenues and earnings beyond the typical pace of expansion.
- **...And a grab bag of call options.** In addition to the base case returns here, our numbers for Amadeus could well be too low. We see the company as best conceived of as these base case returns, plus a grab bag of call options – it has the opportunity to sell its PSS to further airline customers. Four larger airlines (United, Delta, Emirates, Turkish) still run an in-house PSS, and have a decision to make: self-build modern infrastructure (expensive), stay in a legacy world of tickets, passenger name records, etc (and risk falling behind) or outsource (in our view the best option). Amadeus has significant success in competitive tenders, and we expect this to continue, paving the way for further, albeit lumpy, share gains to come.

Attractively valued for its earnings growth profile. Amadeus has been hit by fears over AI, along with other technology companies. We see these fears as unsupported by fundamentals: management would appear to agree, given medium-term guidance of a double-digit EPS CAGR. In 2027-30, we see a net income CAGR of 10%, EPS CAGR of 14% and a 4% average annual dividend. The business mix is also improving, shifting away from lower-growth Air Distribution and towards the higher-growth segments of Air IT and Hospitality. Our target price of €75.00 is set at 20.1x FY+1 P/E, lower than the median historic multiple following the broader technology sector de-rating in recent weeks. We remain convinced of the company's compounding potential, however disproving the bear case of eventual AI disruption could take a long time.

EXHIBIT 13: **Amadeus EBITDA vs consensus**

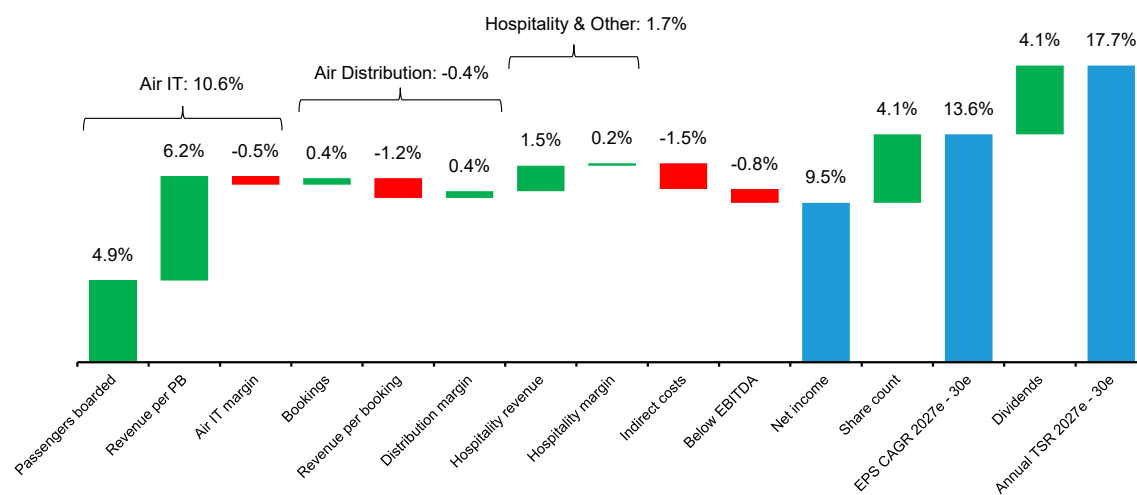
€m



Source: Bloomberg, Bernstein estimates and analysis

EXHIBIT 14: **Air IT and Hospitality drive Amadeus EPS growth: we see a 13.6% EPS CAGR 2027-30, with an additional 3% dividend**

Contributors to Amadeus TSR



Source: Bernstein estimates and analysis

EXHIBIT 15: **Changes to our Amadeus forecasts**

Income Statement (M EUR)		FY2025a	FY2026e	FY2027e	FY2028e	FY2029e	FY2030e
Revenue	new	6,517	6,880	7,649	8,427	8,818	9,192
	previous		6,681	7,271	7,636	7,957	8,257
	Δ		3.0%	5.2%	10.4%	10.8%	11.3%
Underlying EBITDA	new	2,480	2,651	2,860	3,113	3,355	3,579
	previous		2,504	2,864	3,081	3,263	3,421
	Δ		5.8%	-0.1%	1.0%	2.8%	4.6%
Underlying net income	new	1,300	1,432	1,580	1,752	1,923	2,080
	previous		1,338	1,595	1,743	1,862	1,965
	Δ		7.0%	-1.0%	0.5%	3.3%	5.9%
Underlying EPS (€)	new	2.92	3.35	3.72	4.27	4.86	5.46
	previous		3.16	3.85	4.36	4.83	5.30
	Δ		6.1%	-3.3%	-2.0%	0.6%	3.1%

Source: Company reports, Bernstein estimates and analysis

EXHIBIT 16: **Changes to our Amadeus KPI forecasts**

KPIs		FY2025a	FY2026e	FY2027e	FY2028e	FY2029e	FY2030e
Passengers Boarded (m)	new	2,249	2,284	2,376	2,537	2,648	2,754
	previous		2,297	2,436	2,564	2,675	2,782
	Δ		-0.6%	-2.5%	-1.0%	-1.0%	-1.0%
Air IT revenue per PB (€)	new	1.04	1.10	1.30	1.49	1.55	1.60
	previous		1.07	1.11	1.15	1.20	1.24
	Δ		2.9%	16.7%	28.9%	29.0%	29.0%
Air IT contribution (€m)	new	1,664	1,775	1,982	2,267	2,502	2,724
	previous		1,725	1,917	2,122	2,321	2,513
	Δ		2.9%	3.4%	6.9%	7.8%	8.4%
Bookings (m)	new	485	484	497	502	506	506
	previous		470	505	510	512	512
	Δ		3.0%	-1.7%	-1.5%	-1.3%	-1.1%
Distribution revenue per booking (€)	new	6.4	6.6	6.6	6.5	6.4	6.2
	previous		6.5	6.5	6.4	6.3	6.2
	Δ		1.5%	1.7%	0.8%	0.8%	0.8%
Air distribution contribution (€m)	new	1,563	1,634	1,705	1,706	1,695	1,673
	previous		1,546	1,706	1,720	1,706	1,679
	Δ		5.7%	-0.1%	-0.9%	-0.6%	-0.4%
Hospitality revenue (€m)	new	1,052	1,163	1,285	1,389	1,500	1,620
	previous		1,160	1,278	1,393	1,512	1,633
	Δ		0.3%	0.5%	-0.3%	-0.8%	-0.8%
Hospitality contribution (€m)	new	379	429	489	529	577	629
	previous		434	494	549	606	660
	Δ		-1.1%	-1.1%	-3.7%	-4.7%	-4.7%
Indirect costs (€m)	new	(1,099)	(1,179)	(1,315)	(1,389)	(1,419)	(1,448)
	previous		(1,200)	(1,252)	(1,310)	(1,369)	(1,431)
	Δ		-1.8%	5.0%	6.0%	3.6%	1.2%

Source: Company reports, Bernstein estimates and analysis

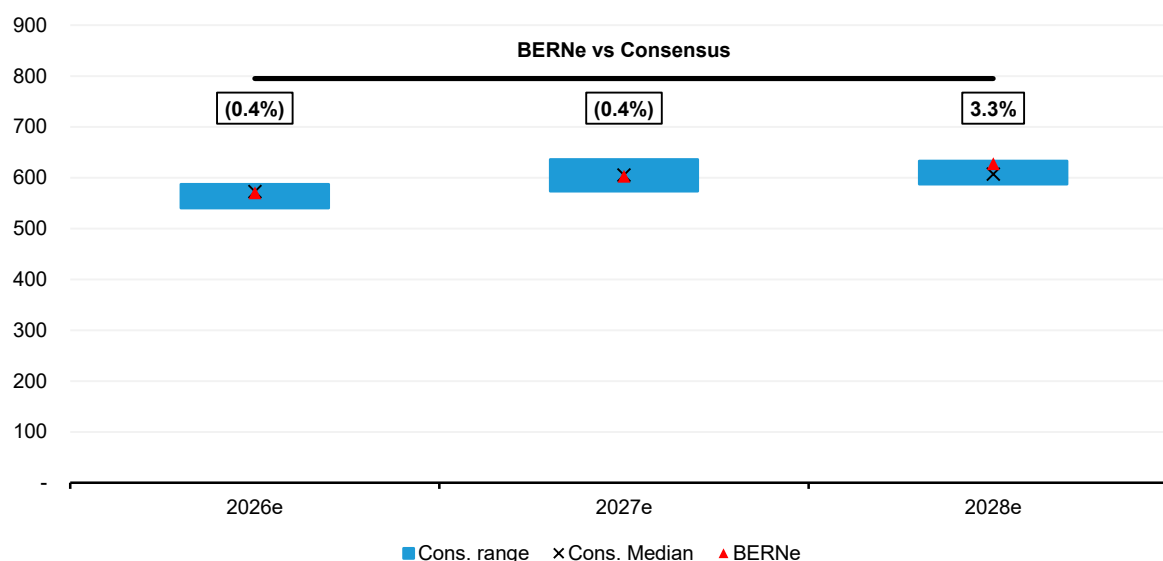
DCF VALUATION		MULTIPLES VALUATION				PRICE TARGET	
<u>WACC</u>		<u>All estimates Bernstein</u>				<u>(Range is 1st-3rd quartile)</u>	
Risk Free Rate	3.0%	<u>KPI Progression</u>		Sales	EBITDA	EPS (€)	
Equity Risk Premium	6.0%	2025		6,517	2,494	2.9	
Beta (unlevered)	1.10	2026e		6,880	2,660	3.3	
Beta (levered)	1.56	2027e		7,649	2,860	3.7	
<u>Cost of Equity</u>	<u>12.4%</u>	2028e		8,427	3,113	4.3	
Cost of Debt	3.0%	2029e		8,818	3,355	4.9	
Tax Rate	22.3%	2030e		9,192	3,579	5.5	
WACC	9.4%	2030e vs. 2025		41.0%	43.5%	86.9%	
		CAGR 2025-30e		5.9%	6.2%	11.0%	
<u>DCF</u>	<u>FY'30e</u>	<u>Multiples</u>		<u>2027e</u>	<u>2027e</u>	<u>2027e</u>	
Terminal growth rate	5.0%	Metric		EV/Sales	EV/EBITDA	P/E	
WACC	9.4%	Datapoint		(FY1)	(FY1)	(FY1)	
Terminal EBITDA margin	42.5%			7,649	2,860	3.7	
Terminal capex / sales	10%	10y multiple		4.8x	12.2x	20.7x	
PV	41,540	Third quartile		5.4x	13.3x	23.1x	
Net debt (€m)	2,253	First quartile		4.4x	11.2x	18.7x	
Pension (€m)	-	Implied multiple (BERN TP)		4.4x	11.9x	20.1x	
Minority interest (€m)	(1)	BERN premium vs LT median		(7%)	(2%)	(2%)	
Net DTAs (€m)	6						
Investments in assoc. & JVs (€m)	51	Implied price from LT median		€78.9	€76.8	€76.9	
Equity value	39,345	BERN TP premium vs LT median		(5%)	(2%)	(2%)	
Implied price from DCF	€88.5						
Premium vs. Bernstein TP	18%						
						Current price ----- BERN TP -----	
						Potential Upside / (Downside) 45%	
						Target Price €75.00	

Source: Company reports, Bernstein estimates and analysis

SABRE: COMPETITIVELY CHALLENGED, BUT RELATIVELY DE-RISKED NEAR-TERM. MARKET-PERFORM, TP \$ 1.75

Sabre looks trapped. The business is **overweight the deteriorating GDS market**, threatened by technological change, and with a larger competitor in IT Solutions with a superior product. Meanwhile, **a stretched balance sheet leaves it unable to invest at the same level as its larger peer**, as deleveraging must be the priority call on cash - and this sees Amadeus continuing to widen the product gap. Since 2023, Amadeus has taken Etihad, ITA and Vietnam Airlines from Sabre on the core PSS. However, near-term, most major customers have renewed, providing protection against further losses. Notably, its two largest customers (American and LATAM) are contracted until the mid-2030s. The sale of Hospitality went some way to repairing the balance sheet, and beyond that maturities are pushed out, with the main maturities in 2029.

- **When you open a door to a competitor, don't be surprised if they walk through it.** Amadeus already invests an amount greater than Sabre's entire market cap into research and development every year. It has long led the field on NDC and its two Passenger Service Systems (PSSs) are the world's largest. More recently, it has been attacking Sabre's heartland of North America - once a market where Sabre's volumes far exceeded everyone else's, now a two-horse race. The IT businesses count one US giant each, with some smaller airlines (American / Alaska / JetBlue at Sabre; Southwest / Frontier / Allegiant at Amadeus), and north of the border, Air Canada is with Amadeus and WestJet with Sabre. With Sabre management forced to spend in a restrained way given the indebted balance sheet, now is the opportune moment for Amadeus throw sales and marketing muscle behind its IT and GDS products, further expanding its market share.
- **Deleveraging is the #1 priority, but this is likely to be slow.** Yet we do not see management as making the wrong choice here. Deleveraging the balance sheet must be the priority, given the highly-indebted position of the group, with leverage still in the mid-single digits for years to come. However, near-term refinancing risk has been dealt with: the meaningful maturities are not until 2029. Until then, Sabre will chip away at its debt pile, however we still see leverage remaining above 5x until the end of the decade. That may create an eventual issue for a company exposed to the airline industry, which has typically gone through a downturn about once a decade.
- **AI risk to GDSs further out than feared.** Sabre is largely a GDS, having sold its Hospitality IT business. We see an eventual risk in this business from a diminution in the role of travel agents in air booking: first leisure, and eventually corporate. Sabre's bookings are around 50% corporate, and in our view that affords it medium-term protection and should see volumes continue to grow. However, over the longer term, there is in our view an eventual risk to the existence of legacy pipes, which were built to solve yesterday's problems of fragmentation and a lack of technological expertise at travel agents.

EXHIBIT 18: **Sabre EBITDA vs cons**

Source: Bloomberg, Bernstein estimates and analysis

EXHIBIT 19: **Changes to our Sabre forecasts**

Income Statement (M USD)		FY2025a	FY2026e	FY2027e	FY2028e	FY2029e	FY2030e
Revenue	new	2,846	2,907	2,968	3,006	3,008	2,990
	previous		2,862	2,925	2,960	2,962	2,945
	Δ		1.6%	1.5%	1.6%	1.5%	1.5%
Adj. EBITDA	new	500	570	603	627	633	630
	previous		540	573	595	601	598
	Δ		5.7%	5.1%	5.4%	5.3%	5.3%
Underlying net income	new	(15)	(9)	37	54	72	116
	previous		(11)	21	38	54	97
	Δ		19.2%	79.2%	43.4%	32.9%	19.8%
EPS (\$)	new	(0.04)	(0.02)	0.08	0.11	0.13	0.20
	previous		(0.03)	0.04	0.07	0.09	0.16
	Δ		27.9%	90.2%	52.0%	41.9%	28.0%

Source: Company reports, Bernstein estimates and analysis

EXHIBIT 20: **Changes to our Sabre KPI forecasts**

KPIs		FY2025a	FY2026e	FY2027e	FY2028e	FY2029e	FY2030e
Air bookings (m)	new	309	318	327	332	332	329
	previous		313	323	327	327	324
	Δ		1.4%	1.4%	1.5%	1.5%	1.5%
Revenue per booking (\$)	new	6.1	6.2	6.1	6.0	5.9	5.8
	previous		6.1	6.1	6.0	5.9	5.8
	Δ		0.6%	0.6%	0.6%	0.6%	0.6%
Passengers Boarded (m)	new	695	712	734	763	787	812
	previous		711	736	763	787	811
	Δ		0.0%	-0.3%	0.1%	0.1%	0.1%
Revenue per PB (\$)	new	0.80	0.81	0.82	0.83	0.84	0.84
	previous		0.81	0.81	0.82	0.83	0.84
	Δ		0.8%	0.8%	0.8%	0.8%	0.8%
Net debt (\$m)	new	3,439	3,505	3,465	3,401	3,313	3,167
	previous		3,536	3,515	3,471	3,404	3,282
	Δ		-0.9%	-1.4%	-2.0%	-2.7%	-3.5%
Net debt / EBITDA	new	6.9	6.1	5.7	5.4	5.2	5.0
	previous		6.6	6.1	5.8	5.7	5.5
	Δ		-6.2%	-6.3%	-7.0%	-7.6%	-8.4%

Source: Company reports, Bernstein estimates and analysis

EXHIBIT 21: **Sabre valuation framework**

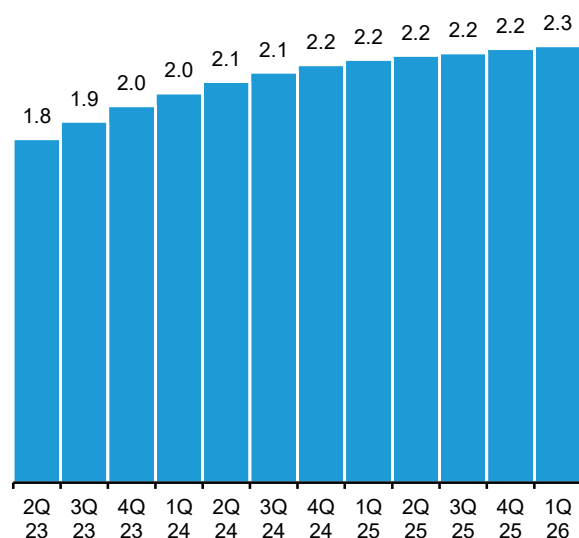
DCF VALUATION		MULTIPLES VALUATION				PRICE TARGET	
<u>WACC</u>		<u>All estimates Bernstein</u>				<u>(Range is 1st-3rd quartile)</u>	
Risk Free Rate	4.4%	<u>KPI Progression</u>	<u>Sales</u>	<u>EBITDA</u>	<u>EPS (\$)</u>	DCF P/E (FY+2) EV/EBITDA (FY+2) EV/Sales (FY+2) P/E (FY+1) EV/EBITDA (FY+1) EV/Sales (FY+1) Current price ----- BERN TP - - - - - Potential Upside / (Downside) -15% Target Price \$1.75 Pricing date: 10 mai 2026	
Cost of Debt	10.0%	2025	2,846	500	(0.04)		
Tax Rate	22.0%	2026e	2,907	570	(0.02)		
WACC assumption	10.4%	2027e	2,968	603	0.08		
<u>DCF</u>	<u>FY'30e</u>	2028e	3,006	627	0.11		
Sales / IC	88.8%	2029e	3,008	633	0.13		
Marginal ROIC	15.4%	2030e	2,990	630	0.20		
WACC assumption	10.4%	2030e vs. 2025	5.1%	25.9%	(637.5%)		
Sales / IC	0.9x	CAGR 2025-30e	1.0%	4.7%	(240.0%)		
PV	4,563	<u>Multiples</u>	<u>2027e</u>	<u>2027e</u>	<u>2027e</u>		
Net debt (\$m)	3,439	Metric	EV/Sales (FY1)	EV/EBITDA (FY1)	P/E (FY1)		
Pension (\$m)	(58)	Datapoint	2,968	603	0.08		
Minority interest (\$m)	14	10Y median multiple	2.0x	8.2x	13.1x		
Net DTAs (\$m)	-	Third quartile	2.3x	9.6x	15.3x		
Investments in assoc. & JVs (\$m)	23	First quartile	1.7x	7.6x	8.2x		
Equity value	1,190	Implied multiple (BERN TP)	1.4x	7.0x	20.9x		
Implied price from DCF	\$2.1	BERN premium vs LT median	(30%)	(15%)	59%		
Premium vs. Bernstein TP	18%	Implied price from LT median	\$5.7	\$3.2	\$1.1		
		BERN TP premium vs LT median	(69%)	(46%)	59%		

Source: Company reports, Bernstein estimates and analysis

APPENDIX: AMADEUS CHART BANK

EXHIBIT 22: **TTM Air IT passengers boarded**

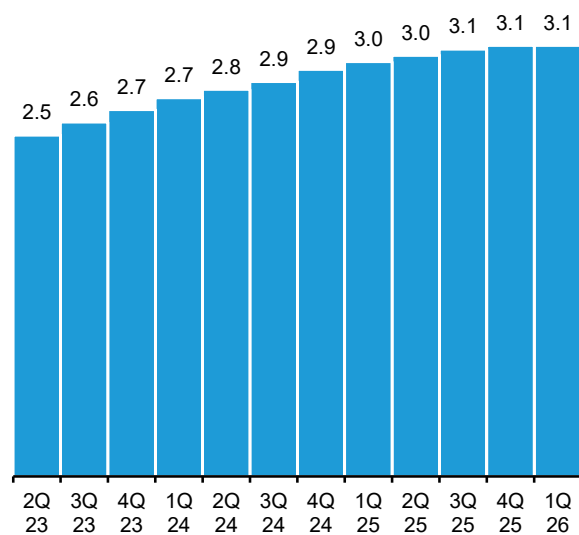
bn



Source: Company reports, Bernstein analysis

EXHIBIT 24: **TTM Air Distribution bookings**

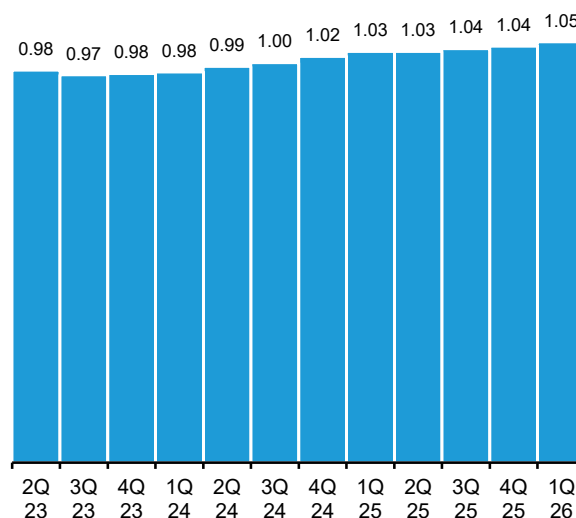
millions



Source: Company reports, Bernstein analysis

EXHIBIT 23: **TTM Air IT revenue per passenger boarded**

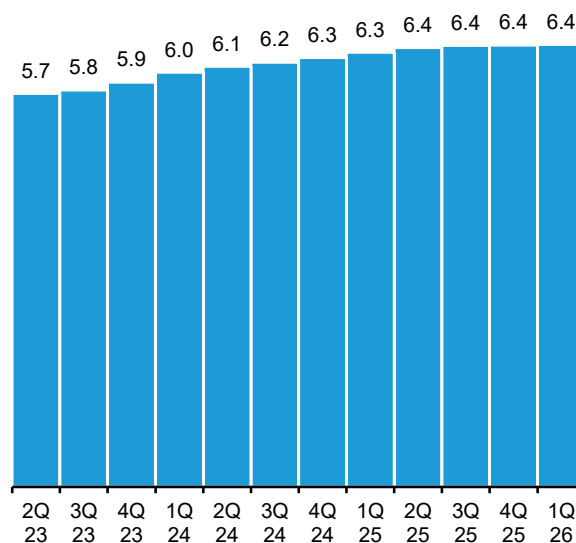
€



Source: Company reports, Bernstein analysis

EXHIBIT 25: **TTM Air Distribution revenue per booking**

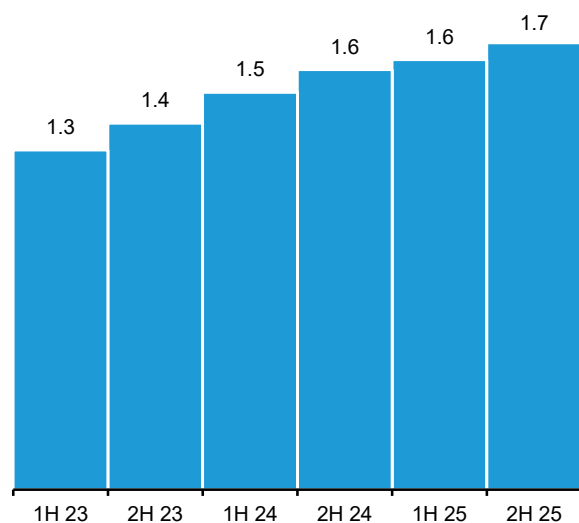
€



Source: Company reports, Bernstein analysis

EXHIBIT 26: **TTM Air IT contribution**

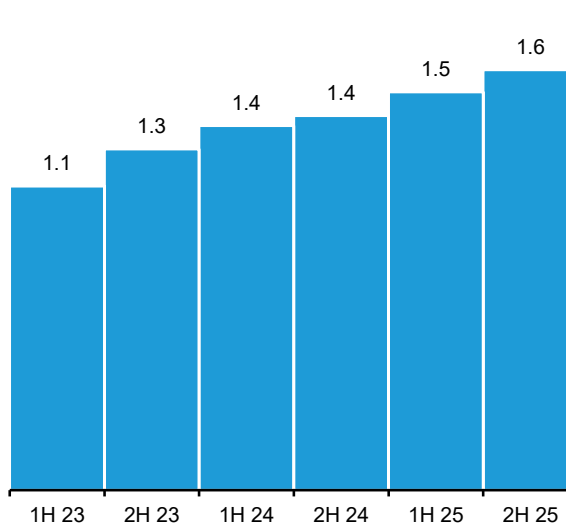
€ bn



Source: Company reports, Bernstein analysis

EXHIBIT 27: **TTM Air distribution contribution**

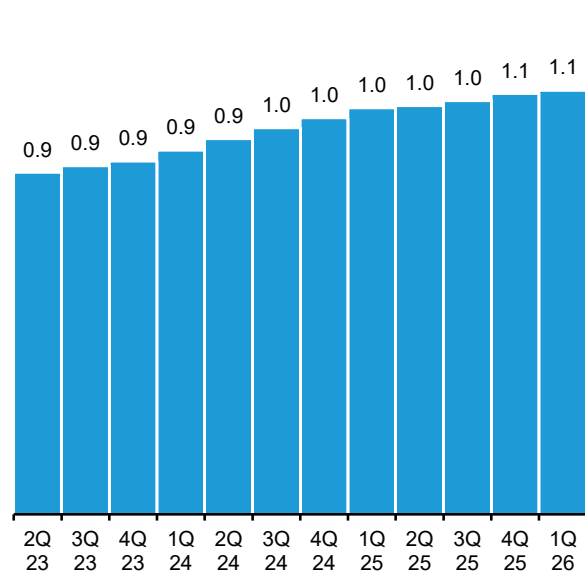
€ bn



Source: Company reports, Bernstein analysis

EXHIBIT 28: **TTM Hospitality revenue**

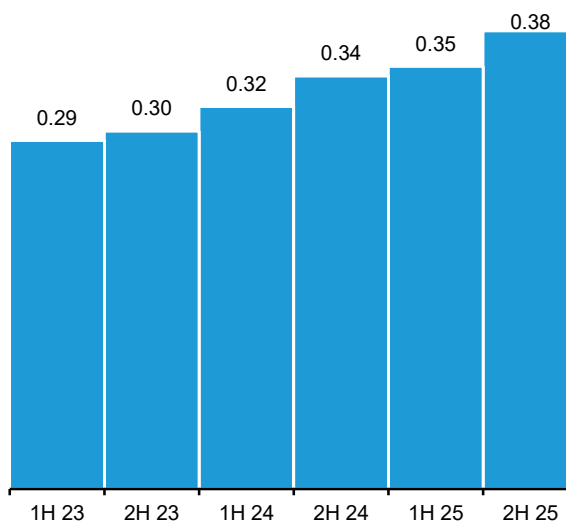
€ bn



Source: Company reports, Bernstein analysis

EXHIBIT 29: **TTM Hospitality contribution**

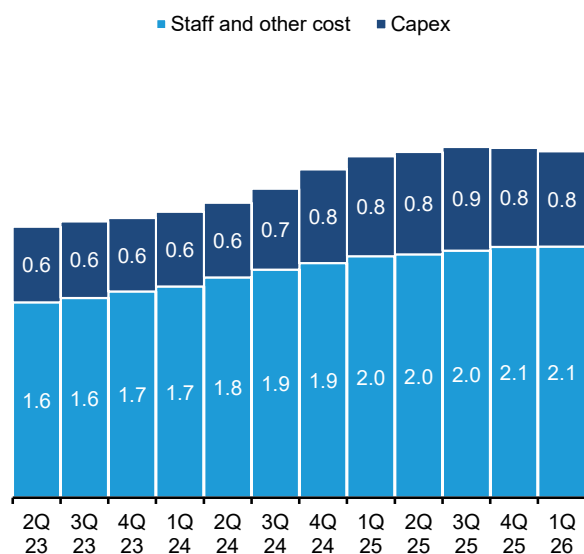
€ bn



Source: Company reports, Bernstein analysis

EXHIBIT 30: **TTM Fixed cash cost**

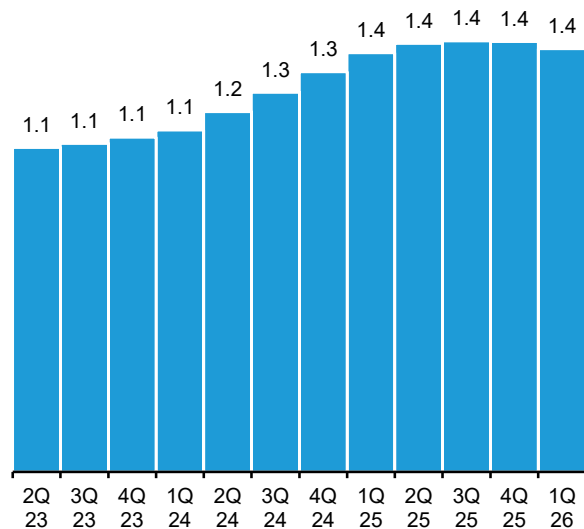
€ bn



Source: Company reports, Bernstein analysis

EXHIBIT 32: **TTM R&D Investment**

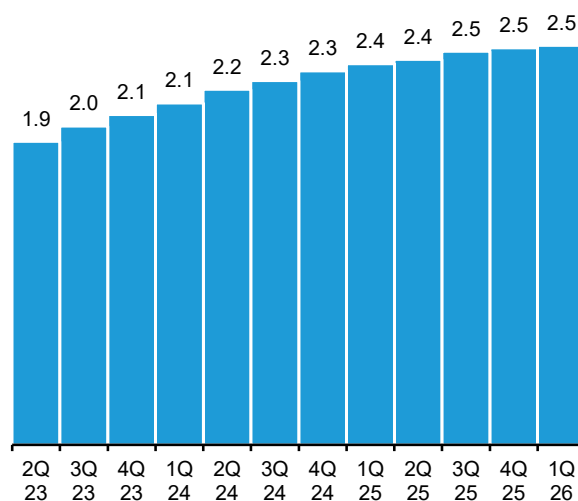
€ bn



Source: Company reports, Bernstein analysis

EXHIBIT 31: **TTM EBITDA**

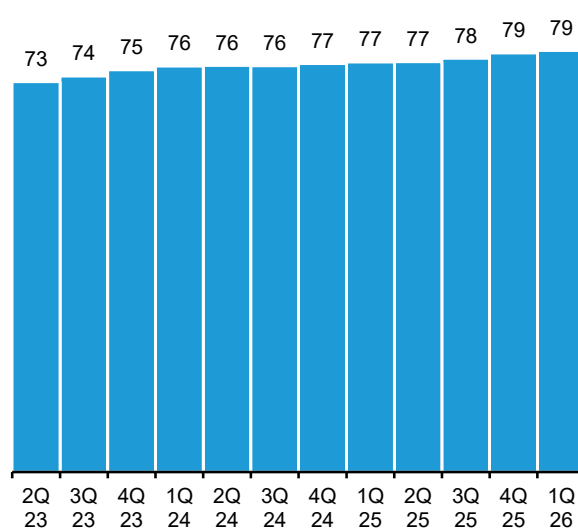
€ bn



Source: Company reports, Bernstein analysis

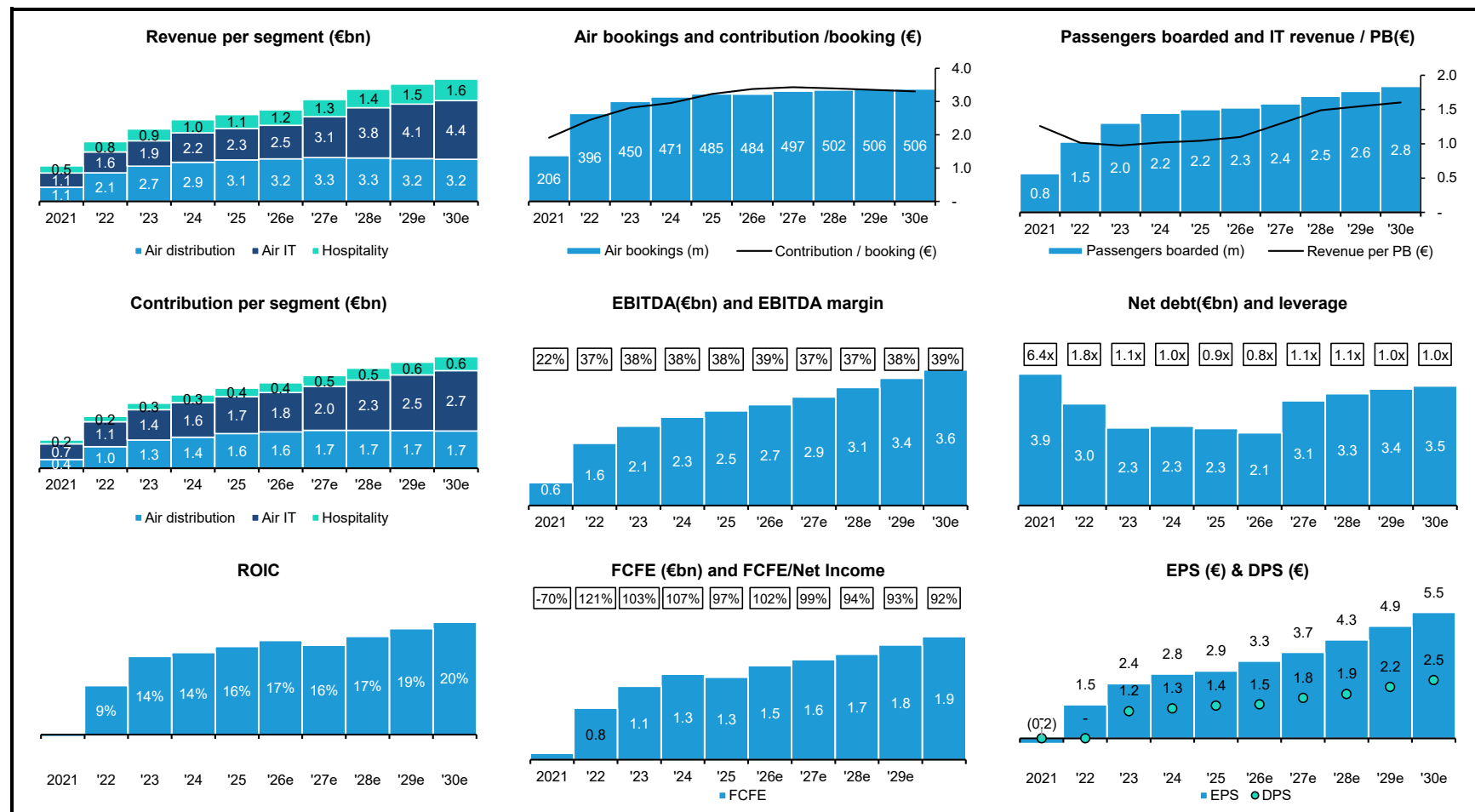
EXHIBIT 33: **TTM Revenue per employee**

€ k



Source: Company reports, Bernstein analysis

EXHIBIT 34: Amadeus dashboard



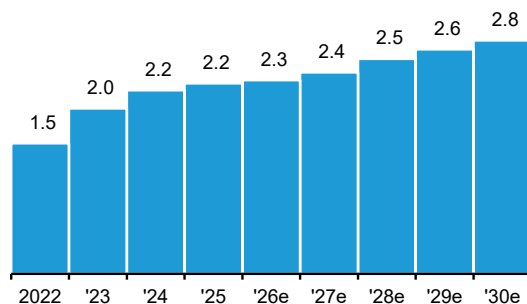
Source: Company reports, Bernstein estimates and analysis

FINANCIAL OVERVIEW

Financial drivers and performance: (1) Segment metrics

EXHIBIT 35: **Passengers boarded**

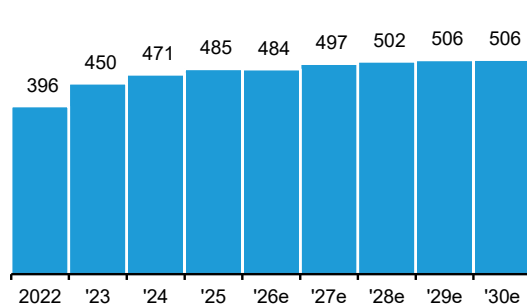
bn



Source: Company reports, Bernstein analysis and estimates

EXHIBIT 38: **Air bookings**

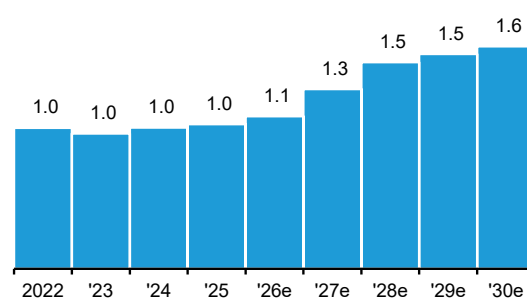
millions



Source: Company reports, Bernstein analysis and estimates

EXHIBIT 36: **Revenue per passenger boarded**

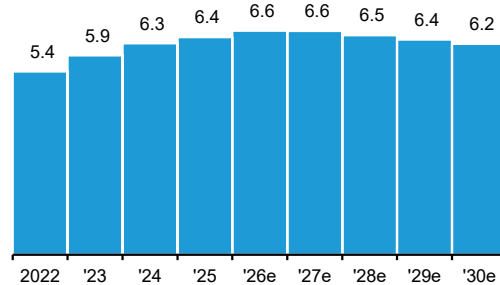
€



Company reports, Bernstein analysis and estimates

EXHIBIT 39: **Revenue per booking**

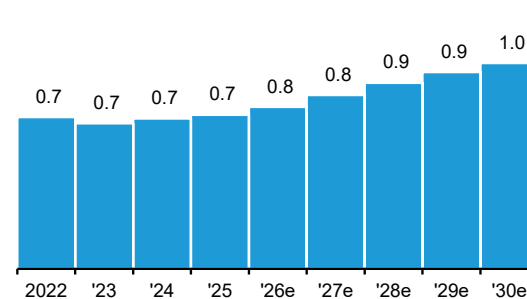
€



Source: Company reports, Bernstein analysis and estimates

EXHIBIT 37: **Contribution per passenger boarded**

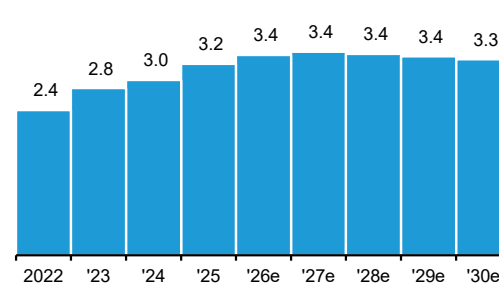
€



Source: Company reports, Bernstein analysis and estimates

EXHIBIT 40: **Contribution per booking**

€

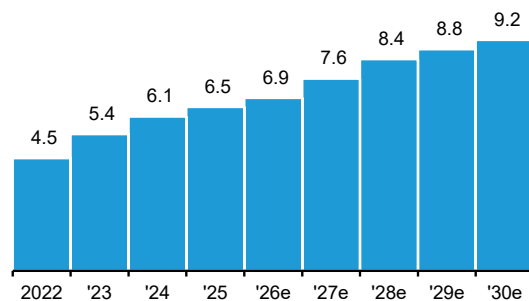


Source: Company reports, Bernstein analysis and estimates

Financial drivers and performance: (2) Earnings and cash contribution

EXHIBIT 41: Total revenue

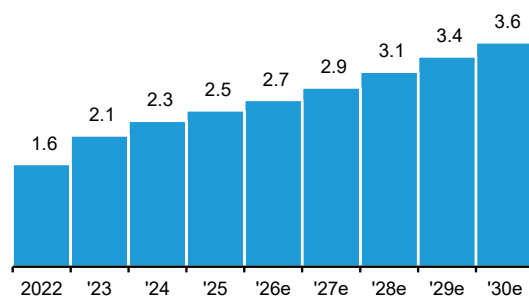
€ bn



Source: Company reports, Bernstein analysis and estimates

EXHIBIT 44: EBITDA

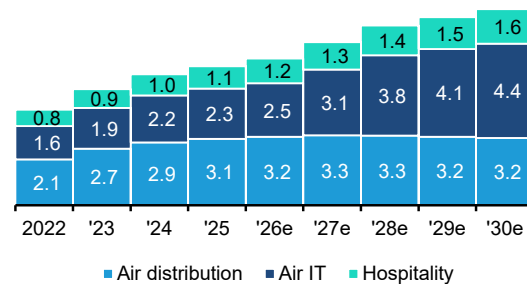
€ bn



Source: Company reports, Bernstein analysis and estimates

EXHIBIT 42: Revenue per segment

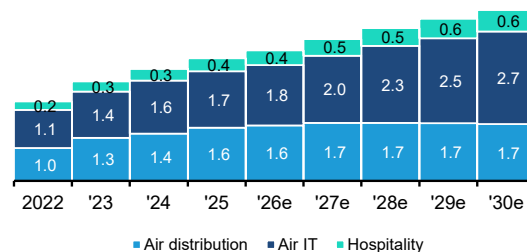
€ bn



Source: Company reports, Bernstein analysis and estimates

EXHIBIT 45: Contribution per segment

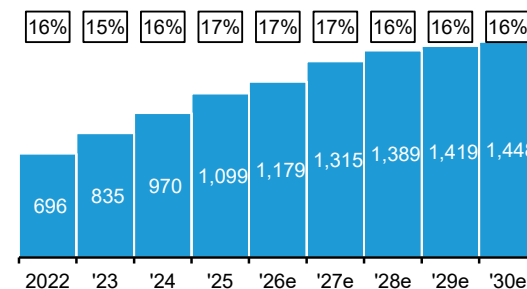
€ bn



Source: Company reports, Bernstein analysis and estimates

EXHIBIT 43: Indirect costs and Indirect cost / sales

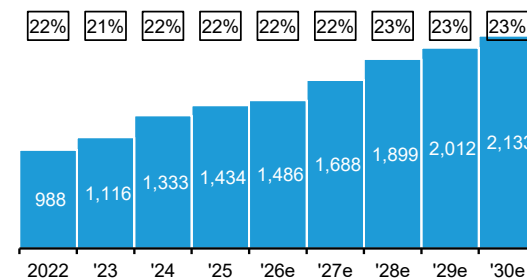
€ m



Source: Company reports, Bernstein analysis and estimates

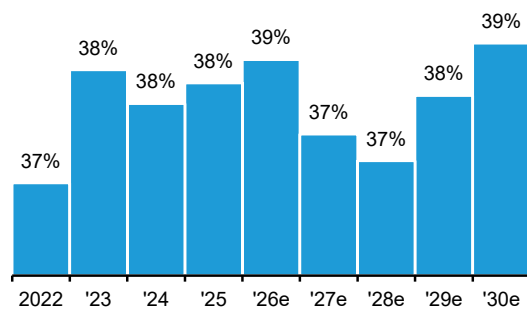
EXHIBIT 46: R&D investment and R&D investment / sales

€ m



Source: Company reports, Bernstein analysis and estimates

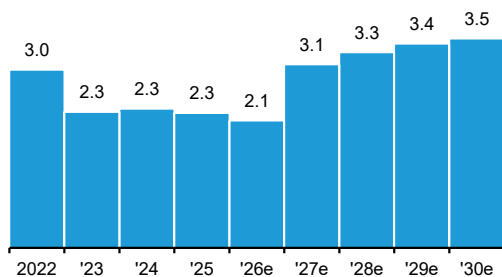
Financial drivers and performance: (3) Margins, returns and leverage

EXHIBIT 47: **EBITDA margin**

Source: Company reports, Bernstein analysis and estimates

EXHIBIT 50: **Net debt**

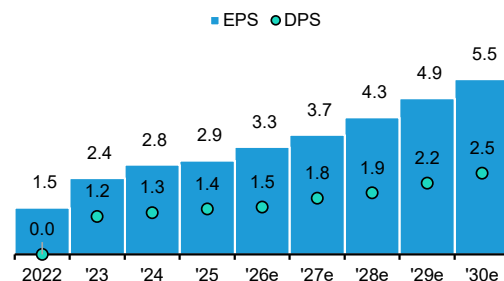
€ bn



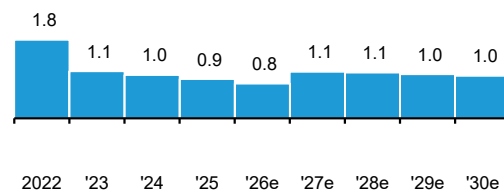
Source: Company reports, Bernstein analysis and estimates

EXHIBIT 48: **EPS & DPS (€)**

€



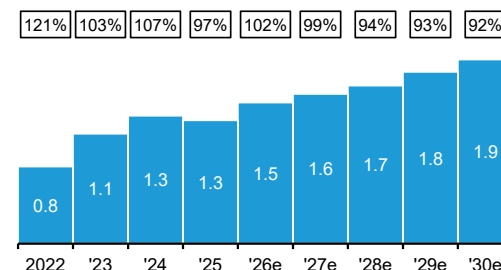
Source: Company reports, Bernstein analysis and estimates

EXHIBIT 51: **Net Debt/EBITDA**

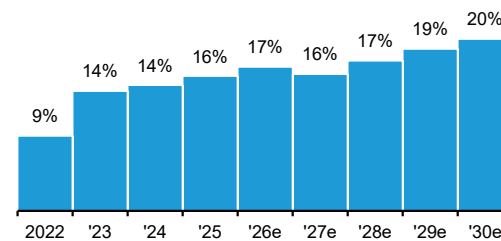
Source: Company reports, Bernstein analysis and estimates

EXHIBIT 49: **FCFE and FCFE/Net Income**

€ bn



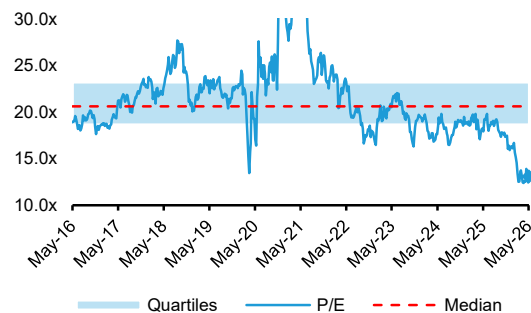
Source: Company reports, Bernstein analysis and estimates

EXHIBIT 52: **ROIC**

Source: Company reports, Bernstein analysis and estimates

Financial drivers and performance: (4) Valuation

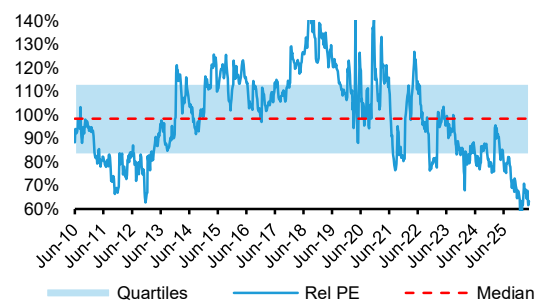
EXHIBIT 53: Amadeus 10-year FY+2 consensus P/E



Source: Bloomberg, Bernstein analysis

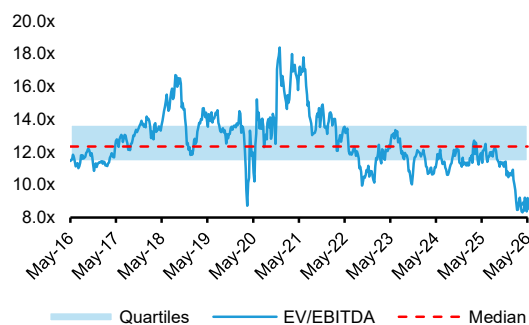
EXHIBIT 56: Amadeus relative P/E

vs Stoxx 600 Technology



Source: Bloomberg, Bernstein analysis

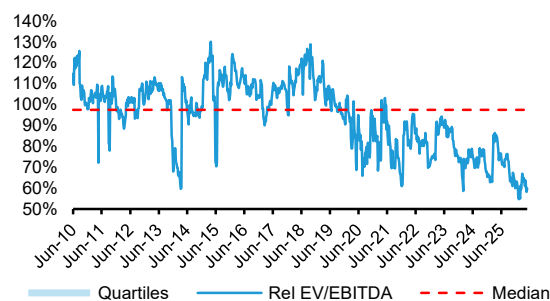
EXHIBIT 54: Amadeus 10-year FY+2 consensus EV/EBITDA



Source: Bloomberg, Bernstein analysis

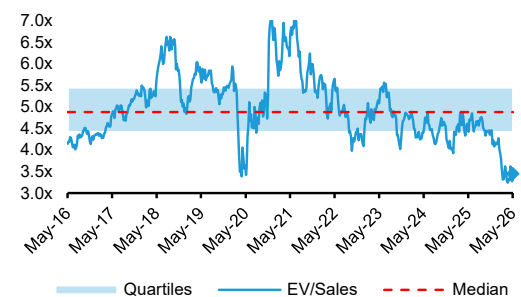
EXHIBIT 57: Amadeus relative EV/EBITDA

vs Stoxx 600 Technology



Source: Bloomberg, Bernstein analysis

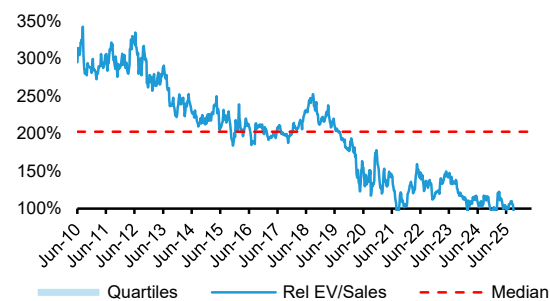
EXHIBIT 55: Amadeus 10-year FY+2 consensus EV/sales



Source: Bloomberg, Bernstein analysis

EXHIBIT 58: Amadeus relative EV/sales

vs Stoxx 600 Technology



Source: Bloomberg, Bernstein analysis

QUESTIONS TO MANAGEMENT

Trading

- How strong are demand trends across your key volume drivers (air bookings, air passengers, hospitality transactions)?
- Any regions / customer groups with particular strength or weakness to call out?
- How is pricing evolving?

Air IT

- How is demand evolving at your key customers?
- What recent contract wins / losses have you had for Altéa and Navitaire and how meaningful are these for overall volumes?
- What trends are you currently seeing in your non-PSS products?
- How do you expect a move to order management systems to happen? Is this an opportunity or a threat?
- Are you expecting new competitors to emerge in order management? How will you defend against this?
- How do you expect Nevio to contribute to revenues?
- What traction are you experiencing with non-Altéa/Navitaire customers on their willingness to adopt Nevio?
- Is AI an opportunity or a threat in Air IT? Why?

Air Distribution

- Where is Amadeus taking or losing share in air distribution? Why?
- Can you make money in AI distribution? How? What is your value add?
- Do you expect LLMs to rely on GDSs for content or to get this from airlines? Why?
- Is the move towards NDC accelerating or decelerating? What have been the most meaningful recent changes in this space?
- What are the biggest barriers to further NDC adoption among airlines or agents, and how are you helping overcome these?
- What share of your bookings are NDC vs EDIFACT today? Where do you expect that to be in 1, 2, 5 years?
- How do the relative economics of an NDC booking and a GDS booking, like for like, compare on both revenue and cost?

Hospitality

- How much of your hospitality revenue comes from each of your key products?
- How is the rollout of ACRS going? What sort of feedback have you had from customers?
- What would success look like with ACRS? How many chains do you think you can sell this to?
- Which products are your largest growth opportunities?

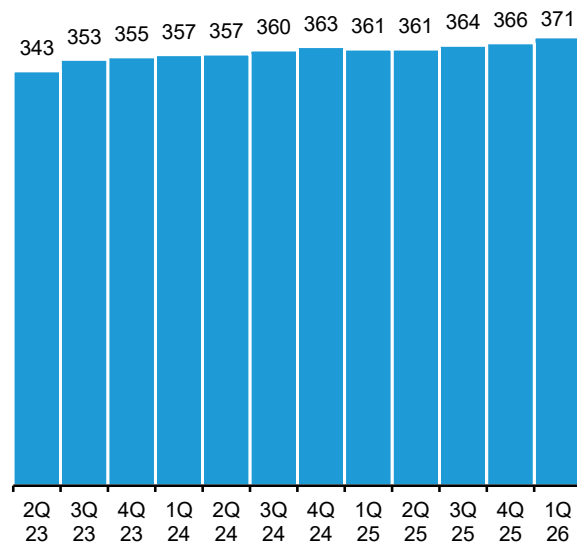
Cost and capital allocation

- How are you thinking about inorganic growth? What products / verticals would be most appealing?
- Which areas are you prioritizing for R&D spend? How do you expect those priorities to evolve?

- Is there an opportunity to reduce your indirect costs? What do you need to spend €1.2bn on per year?
- Can you stop increasing R&D spend

APPENDIX: SABRE CHART BANK**EXHIBIT 59: TTM bookings**

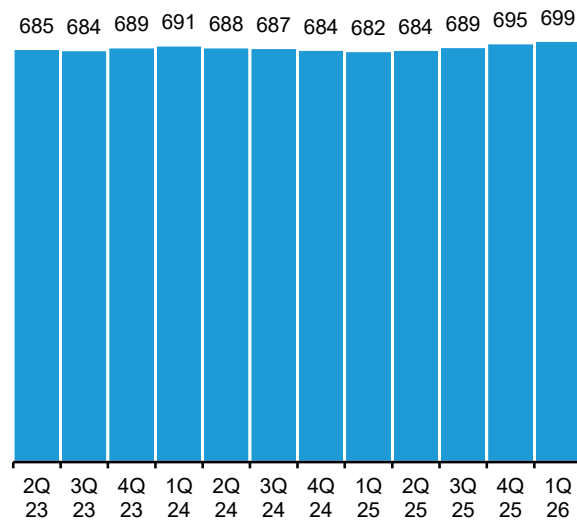
millions



Source: Company reports, Bernstein analysis

EXHIBIT 61: TTM passenger boarded

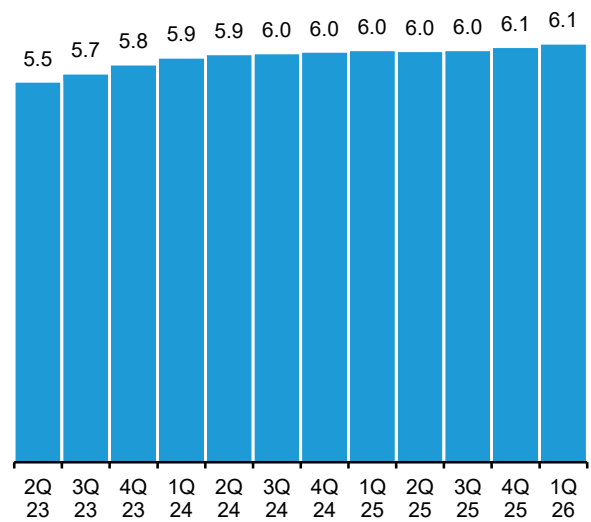
millions



Source: Company reports, Bernstein analysis

EXHIBIT 60: TTM Revenue per booking

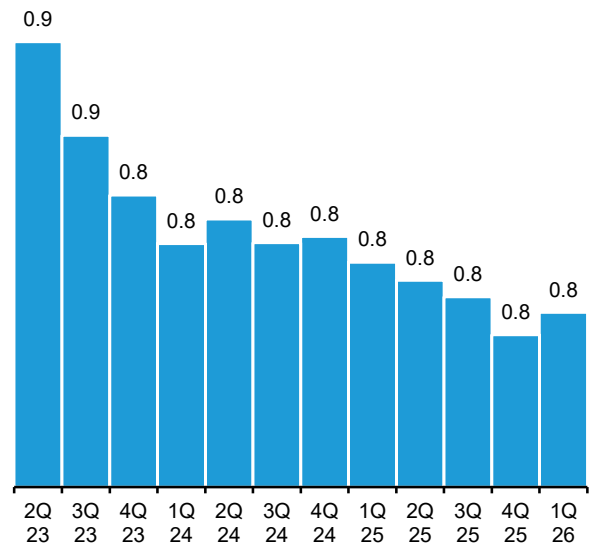
\$



Source: Company reports, Bernstein analysis

EXHIBIT 62: TTM Revenue per passenger boarded

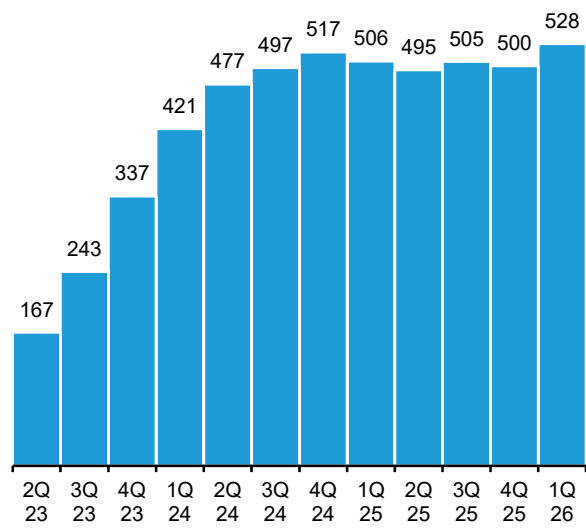
\$



Source: Company reports, Bernstein analysis

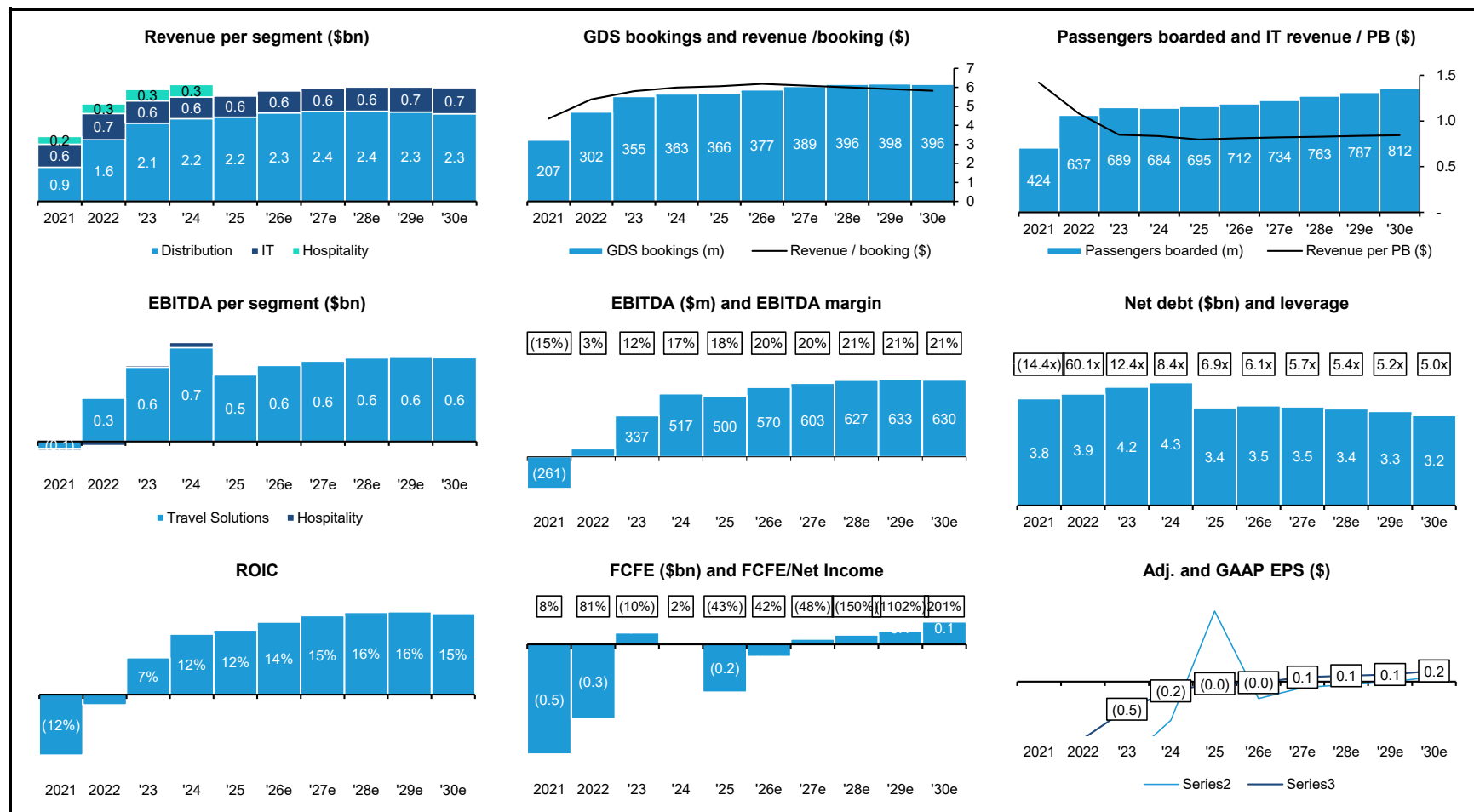
EXHIBIT 63: **TTM EBITDA**

\$ millions



Source: Company reports, Bernstein analysis

EXHIBIT 64: Sabre dashboard



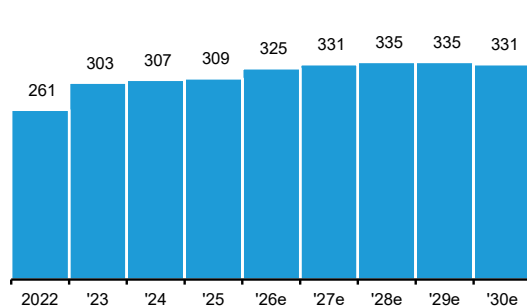
Source: Company reports, Bernstein estimates and analysis

FINANCIAL OVERVIEW

Financial drivers and performance: (1) Segment metrics

EXHIBIT 65: **Air bookings**

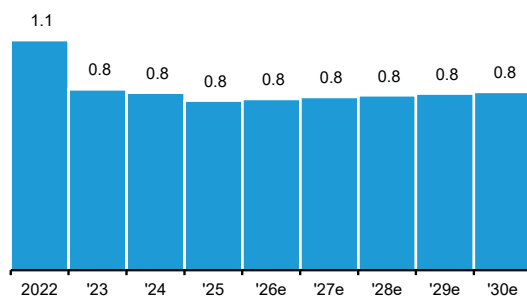
m



Source: Company reports, Bernstein estimates and analysis

EXHIBIT 68: **Revenue per passenger boarded**

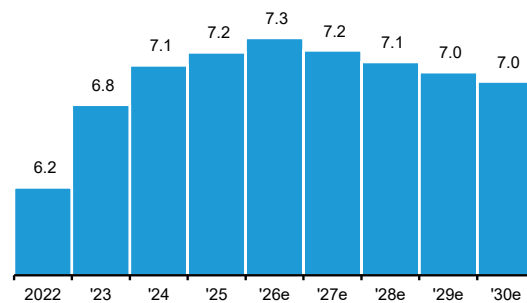
\$



Source: Company reports, Bernstein estimates and analysis

EXHIBIT 66: **Revenue per booking**

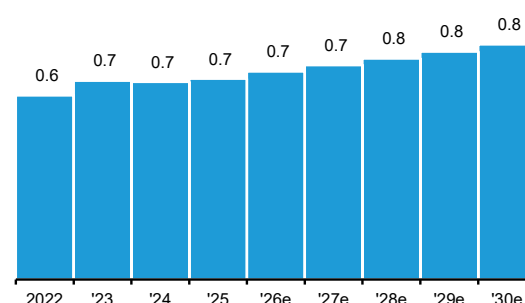
\$



Source: Company reports, Bernstein estimates and analysis

EXHIBIT 67: **Passenger boarded**

bn

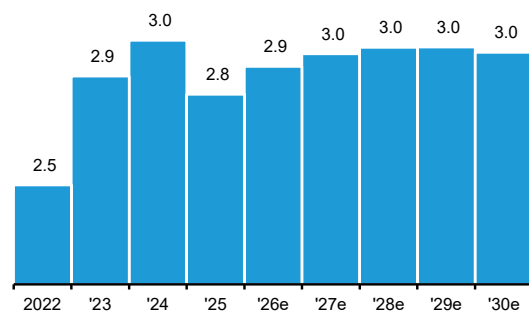


Source: Company reports, Bernstein analysis and estimates

Financial drivers and performance: (2) Earnings and cash contribution

EXHIBIT 69: **Total revenue**

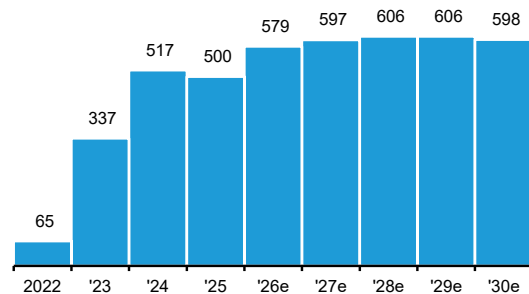
\$bn



Source: Company reports, Bernstein estimates and analysis

EXHIBIT 72: **Adj. EBITDA**

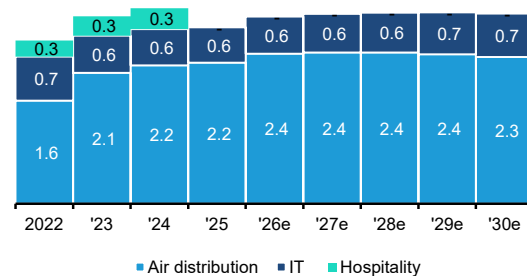
\$m



Source: Company reports, Bernstein estimates and analysis

EXHIBIT 70: **Revenue per segment**

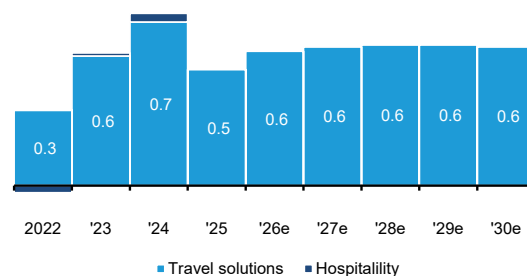
\$bn



Source: Company reports, Bernstein estimates and analysis

EXHIBIT 73: **Adj. EBITDA per segment**

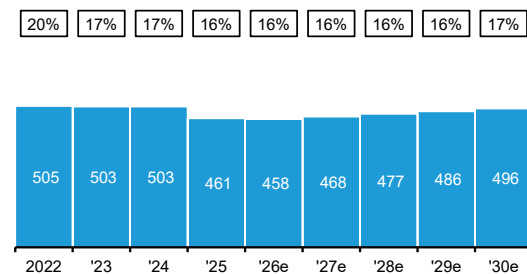
\$bn



Source: Company reports, Bernstein estimates and analysis

EXHIBIT 71: **Corporate costs and corporate cost/sales**

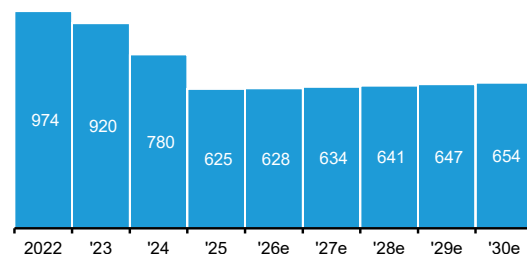
\$m



Source: Company reports, Bernstein estimates and analysis

EXHIBIT 74: **Adj. technology costs**

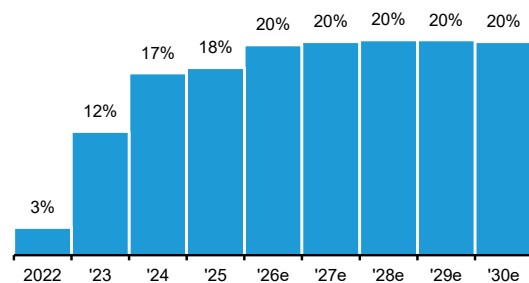
\$m



Source: Company reports, Bernstein estimates and analysis

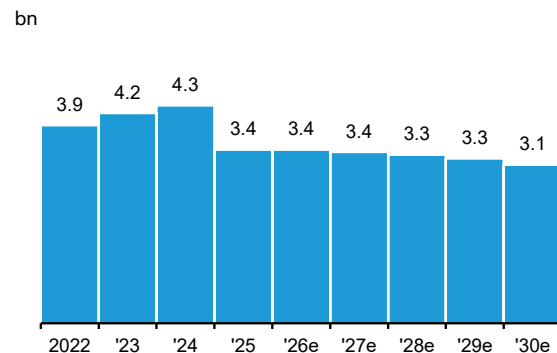
Financial drivers and performance: (3) Margins, returns and leverage

EXHIBIT 75: **EBITDA margin**



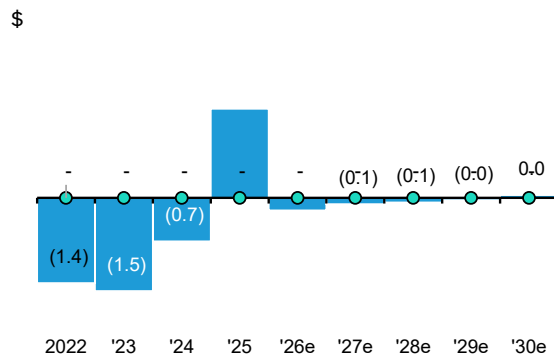
Source: Company reports, Bernstein analysis and estimates

EXHIBIT 78: **Net debt**



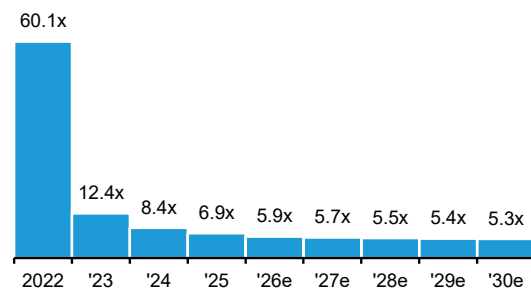
Source: Company reports, Bernstein estimates and analysis

EXHIBIT 76: **EPS and DPS**



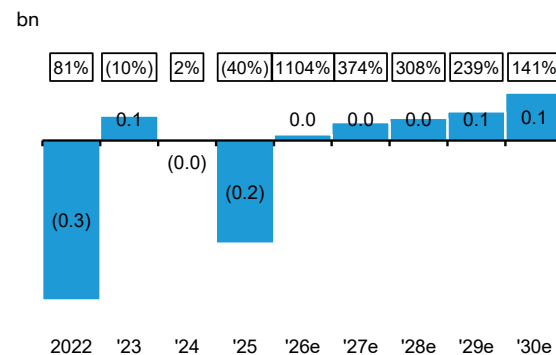
Source: Company reports, Bernstein estimates and analysis

EXHIBIT 79: **Net debt/EBITDA**



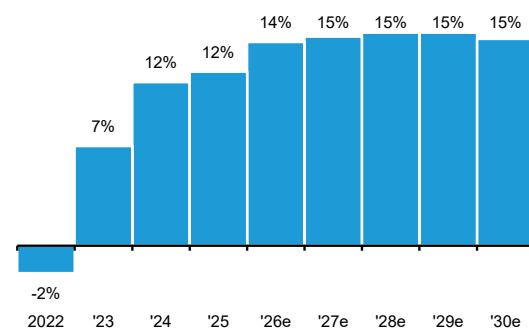
Source: Company reports, Bernstein estimates and analysis

EXHIBIT 77: **FCFE and FCFE/ net income**



Source: Company reports, Bernstein analysis and estimates

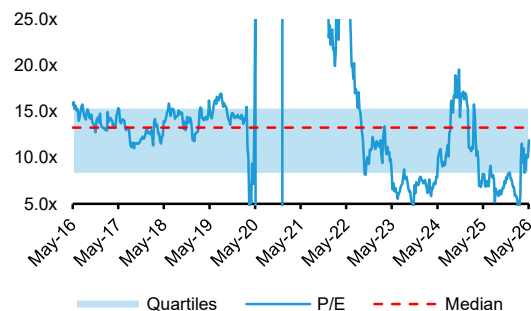
EXHIBIT 80: **ROIC**



Source: Company reports, Bernstein estimates and analysis

Financial drivers and performance: (4) Valuation

EXHIBIT 81: SABR 10y FY+1 consensus P/E



Source: Bloomberg, Bernstein analysis

EXHIBIT 84: Sabre relative P/E

vs NASDAQ composite

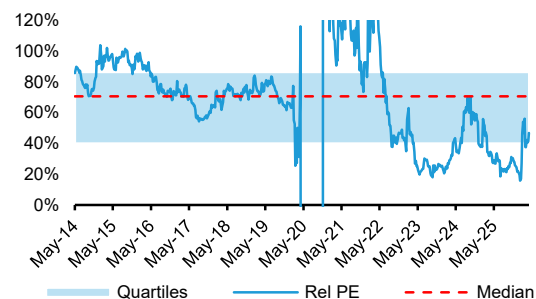
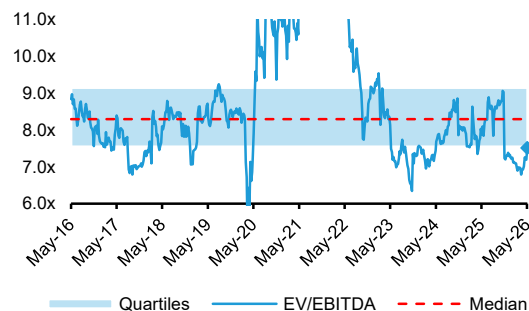
Relative to the NASDAQ Composite Index (CCMP)
Source: Bloomberg, Bernstein analysis

EXHIBIT 82: SABR 10y FY+1 consensus EV/EBITDA



Source: Bloomberg, Bernstein analysis

EXHIBIT 85: Sabre relative EV/EBITDA

vs NASDAQ composite

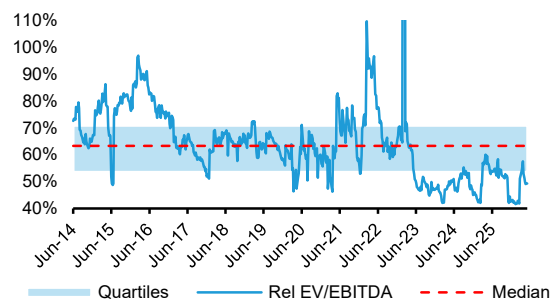
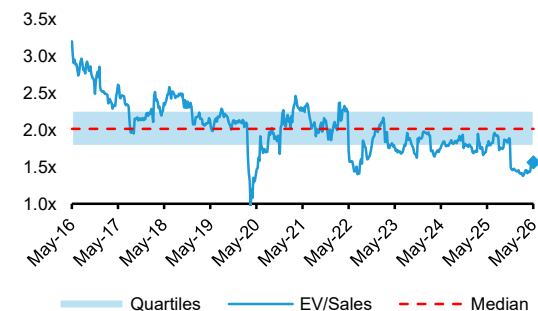
Relative to the NASDAQ Composite Index (CCMP)
Source: Bloomberg, Bernstein analysis

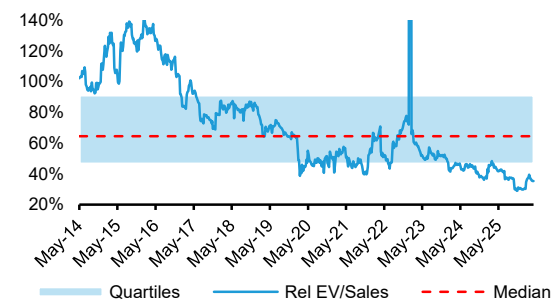
EXHIBIT 83: SABR 10y FY+1 consensus EV/sales



Source: Bloomberg, Bernstein analysis

EXHIBIT 86: Sabre relative EV/sales

vs NASDAQ composite

Relative to the NASDAQ Composite Index (CCMP)
Source: Bloomberg, Bernstein analysis

APPENDIX - FINANCIAL FORECASTS

EXHIBIT 87: Amadeus financial model

	FY2021a	FY2022a	FY2023a	FY2024a	FY2025a	FY2026e	FY2027e	FY2028e	FY2029e	FY2030e
KPIs										
Air bookings (m)	206	396	450	471	485	484	497	502	506	506
Air distribution revenue per booking (€)	5.1	5.4	5.9	6.3	6.4	6.6	6.6	6.5	6.4	6.2
Air distribution contribution per booking (€)	1.9	2.4	2.8	3.0	3.2	3.4	3.4	3.4	3.4	3.3
Passengers boarded (m)	849	1,540	1,952	2,166	2,249	2,284	2,376	2,537	2,648	2,754
IT revenue per passenger boarded (€)	1.26	1.02	0.98	1.02	1.04	1.10	1.30	1.49	1.55	1.60
IT contribution per passenger boarded (€)	0.83	0.73	0.70	0.72	0.74	0.78	0.83	0.89	0.94	0.99
Income Statement (€m)										
Air IT	1,070	1,565	1,904	2,205	2,346	2,512	3,078	3,778	4,101	4,415
Air distribution	1,062	2,148	2,655	2,946	3,119	3,205	3,287	3,260	3,217	3,157
Hospitality and other	539	773	883	991	1,052	1,163	1,285	1,389	1,500	1,620
Total revenue	2,670	4,486	5,441	6,142	6,517	6,880	7,649	8,427	8,818	9,192
Contribution - Air IT	705	1,121	1,364	1,563	1,664	1,775	1,982	2,267	2,502	2,724
Contribution - Air distribution	395	970	1,268	1,392	1,563	1,634	1,705	1,706	1,695	1,673
Contribution - Hospitality and other	172	245	296	342	379	429	489	529	577	629
Indirect costs	(645)	(696)	(866)	(962)	(1,126)	(1,188)	(1,315)	(1,389)	(1,419)	(1,448)
Underlying EBITDA	628	1,641	2,063	2,335	2,480	2,651	2,860	3,113	3,355	3,579
Contribution margin - Air IT	66%	72%	72%	71%	71%	71%	64%	60%	61%	62%
Contribution margin - Air distribution	37%	45%	48%	47%	50%	51%	52%	52%	53%	53%
Contribution margin - Hospitality and other	32%	32%	34%	34%	36%	37%	38%	38%	38%	39%
Indirect costs / Total revenue	24%	16%	16%	16%	17%	17%	17%	16%	16%	16%
Underlying EBITDA margin	24%	37%	38%	38%	38%	39%	37%	37%	38%	39%
Depreciation & amortisation	(682)	(678)	(680)	(700)	(735)	(711)	(723)	(738)	(756)	(777)
Underlying EBIT	(54)	963	1,383	1,635	1,745	1,940	2,138	2,375	2,599	2,802
Underlying net income	(105)	677	1,098	1,261	1,300	1,432	1,580	1,752	1,923	2,080
<i>Net margin</i>	<i>-3.9%</i>	<i>15.1%</i>	<i>20.2%</i>	<i>20.5%</i>	<i>19.9%</i>	<i>20.8%</i>	<i>20.6%</i>	<i>20.8%</i>	<i>21.8%</i>	<i>22.6%</i>
Underlying EPS (€)	(0.2)	1.5	2.4	2.8	2.9	3.3	3.7	4.3	4.9	5.5
<i>EPS growth</i>	<i>-75.5%</i>	<i>-744.4%</i>	<i>63.0%</i>	<i>17.7%</i>	<i>4.7%</i>	<i>14.6%</i>	<i>11.2%</i>	<i>14.7%</i>	<i>13.8%</i>	<i>12.3%</i>
Average shares out (m)	465	465	463	452	444	428	424	410	396	381
<i>P/E</i>	<i>(264.1x)</i>	<i>33.4x</i>	<i>27.4x</i>	<i>24.4x</i>	<i>21.5x</i>	<i>15.6x</i>	<i>14.0x</i>	<i>12.2x</i>	<i>10.7x</i>	<i>9.5x</i>
<i>EV/EBITDA</i>	<i>50.1x</i>	<i>15.5x</i>	<i>15.6x</i>	<i>14.2x</i>	<i>12.1x</i>	<i>9.2x</i>	<i>8.8x</i>	<i>7.9x</i>	<i>7.2x</i>	<i>6.5x</i>
<i>PEG</i>	<i>3.5x</i>	<i>(0.0x)</i>	<i>0.4x</i>	<i>1.4x</i>	<i>4.6x</i>	<i>1.1x</i>	<i>1.2x</i>	<i>0.8x</i>	<i>0.8x</i>	<i>0.8x</i>
Balance Sheet (€m)										
Goodwill	3,654	3,767	3,711	4,091	3,912	3,996	5,246	5,246	5,246	5,246
Other non-current assets	4,884	4,880	4,685	5,100	5,079	5,208	5,329	5,473	5,640	5,832
Other current assets	1,516	1,631	1,361	1,545	1,504	1,598	1,815	1,902	1,978	2,053
Cash and cash equivalents	1,128	1,435	1,038	1,049	976	1,454	812	909	1,068	1,279
Total assets	11,182	11,712	10,795	11,784	11,471	12,256	13,203	13,529	13,932	14,411
Current liabilities ex-debt	1,369	1,644	1,925	2,232	2,349	2,590	2,909	3,042	3,173	3,302
Total debt	4,980	4,411	3,309	3,376	3,228	3,581	3,881	4,181	4,481	4,781
Other non-current liabilities	1,088	1,075	1,080	1,114	1,042	1,057	1,083	1,094	1,103	1,112
Total equity	3,745	4,583	4,483	5,064	4,854	5,030	5,331	5,214	5,177	5,218
Total equity and liabilities	11,182	11,712	10,795	11,784	11,471	12,256	13,203	13,529	13,932	14,411
Net debt	3,852	2,976	2,271	2,327	2,253	2,127	3,068	3,272	3,413	3,501
Net debt / EBITDA	6.4x	1.8x	1.1x	1.0x	0.9x	0.8x	1.1x	1.1x	1.0x	1.0x
Underlying ROIC	-0.4%	8.6%	13.8%	14.5%	15.5%	16.6%	15.8%	17.3%	18.7%	19.8%
Cash Flow Statement (€m)										
EBITDA	599	1,641	2,094	2,329	2,494	2,660	2,860	3,113	3,355	3,579
Working capital	83	(131)	(34)	81	94	84	106	43	37	37
Capex	(460)	(567)	(600)	(770)	(814)	(801)	(839)	(874)	(912)	(951)
Net interest	(77)	(69)	(46)	(52)	(41)	(99)	(93)	(110)	(118)	(125)
Taxes	61	(205)	(243)	(296)	(385)	(428)	(470)	(521)	(571)	(616)
Free Cash Flow	99	805	1,149	1,336	1,289	1,473	1,565	1,650	1,793	1,924
Dividends	-	-	(333)	(542)	(613)	(635)	(706)	(755)	(834)	(914)
Buybacks	(38)	(4)	(613)	(362)	(1,906)	(661)	(550)	(1,100)	(1,100)	(1,100)
Other cash movements	(488)	(495)	(599)	(419)	1,155	300	(950)	301	301	301
Change in cash and cash equivalents	(426)	306	(396)	12	(73)	478	(641)	96	159	211
BERN FCFF	176	874	1,195	1,387	1,331	1,571	1,657	1,760	1,910	2,048
FCFF yield	0.6%	3.4%	3.7%	4.2%	4.4%	6.4%	6.6%	7.1%	8.0%	8.8%
BERN FCFE	99	805	1,149	1,336	1,289	1,473	1,565	1,650	1,793	1,924
FCFE yield	0.4%	3.6%	3.8%	4.3%	4.6%	6.6%	7.1%	7.7%	8.7%	9.7%
DPS	-	-	1.2	1.3	1.4	1.5	1.8	1.9	2.2	2.5
Dividend yield	0.0%	0.0%	1.8%	1.9%	2.3%	2.8%	3.4%	3.7%	4.3%	4.9%
Dividend+buyback yield	0.1%	0.0%	3.1%	2.9%	9.0%	5.8%	5.7%	8.7%	9.4%	10.1%

Source: Company reports, Bernstein estimates and analysis

EXHIBIT 88: Sabre financial model

KPIs	FY2021a	FY2022a	FY2023a	FY2024a	FY2025a	FY2026e	FY2027e	FY2028e	FY2029e	FY2030e
Air bookings (m)	184	261	303	307	309	318	327	332	332	329
Non-air bookings (m)	23	41	52	56	57	59	61	64	65	67
Revenue per booking (\$)	4.4	5.4	5.8	6.0	6.1	6.2	6.1	6.0	5.9	5.8
Passengers boarded (m)	424	637	689	684	695	712	734	763	787	812
IT revenue per passenger boarded (\$)	1.42	1.08	0.85	0.83	0.80	0.81	0.82	0.83	0.84	0.84
Income Statement (\$m)	FY2021a	FY2022a	FY2023a	FY2024a	FY2025a	FY2026e	FY2027e	FY2028e	FY2029e	FY2030e
Distribution	901	1,623	2,057	2,174	2,217	2,329	2,367	2,374	2,349	2,304
IT Solutions	602	689	585	571	554	577	602	632	658	685
Total revenue	1,689	2,537	2,908	3,030	2,846	2,907	2,968	3,006	3,008	2,990
Cost of sales	(645)	(993)	(1,149)	(1,232)	(1,187)	(1,258)	(1,272)	(1,271)	(1,252)	(1,223)
Gross profit	1,044	1,544	1,758	1,797	1,659	1,649	1,696	1,735	1,756	1,767
Gross margin	62%	61%	60%	59%	58%	57%	57%	58%	58%	59%
Adj. EBITDA	(261)	65	337	517	500	570	603	627	633	630
Adj. EBITDA margin	(15%)	3%	12%	17%	18%	20%	20%	21%	21%	21%
Depreciation & amortisation	(198)	(133)	(108)	(92)	(72)	(83)	(74)	(76)	(77)	(77)
Adj. EBIT	(459)	(68)	229	425	428	487	529	552	556	553
Adj. EBIT margin	(27%)	(3%)	8%	14%	15%	17%	18%	18%	18%	18%
Interest expense	(258)	(296)	(450)	(507)	(443)	(487)	(481)	(482)	(464)	(403)
EBITDA interest cover	(1.0x)	0.2x	0.7x	1.0x	1.1x	1.2x	1.3x	1.3x	1.4x	1.6x
Taxes and other	7	(7)	42	14	0	(9)	(11)	(15)	(20)	(33)
Underlying net income	(709)	(371)	(180)	(67)	(15)	(9)	37	54	72	116
Net income margin	-42.0%	-14.6%	-6.2%	-2.2%	-0.5%	-0.3%	1.3%	1.8%	2.4%	3.9%
Underlying EPS (\$)	(2.21)	(1.08)	(0.52)	(0.17)	(0.04)	(0.02)	0.08	0.11	0.13	0.20
GAAP EPS	(2.90)	(1.35)	(1.48)	(0.73)	1.32	(0.32)	(0.11)	(0.06)	(0.01)	0.09
Average shares out (m)	321	348	355	384	392	413	454	495	536	578
P/E	(3.9x)	(5.7x)	(8.5x)	(20.9x)	(36.2x)	(106.9x)	24.5x	18.6x	15.3x	10.2x
EV/EBITDA	(25.1x)	92.6x	17.0x	11.0x	7.8x	7.6x	7.3x	7.0x	6.9x	6.9x
Balance Sheet (\$m)	FY2021a	FY2022a	FY2023a	FY2024a	FY2025a	FY2026e	FY2027e	FY2028e	FY2029e	FY2030e
Goodwill	2,470	2,542	2,554	2,553	2,384	2,383	2,383	2,383	2,383	2,383
Other non-current assets	1,419	1,059	960	919	822	802	787	768	746	723
Other current assets	403	546	489	418	386	397	407	411	412	410
Cash and cash equivalents	999	816	669	746	910	611	731	796	510	861
Total assets	5,291	4,963	4,672	4,635	4,502	4,194	4,309	4,357	4,050	4,376
Current liabilities ex-debt	687	792	911	912	968	966	976	979	980	977
Total debt	4,753	4,741	4,834	5,065	4,349	4,116	4,196	4,196	3,822	4,027
Other non-current liabilities	351	303	304	263	222	231	231	232	233	232
Total equity	(500)	(873)	(1,376)	(1,605)	(1,036)	(1,114)	(1,094)	(1,051)	(984)	(860)
Total equity and liabilities	5,291	4,963	4,672	4,635	4,502	4,194	4,309	4,357	4,050	4,376
Net debt	3,754	3,925	4,164	4,319	3,439	3,505	3,465	3,401	3,313	3,167
Adj. net debt / EBITDA	-14.4x	60.1x	12.4x	8.4x	6.9x	6.1x	5.7x	5.4x	5.2x	5.0x
Underlying ROIC	-11.5%	-1.9%	7.0%	11.5%	12.3%	13.8%	15.0%	15.7%	15.8%	15.4%
Cash Flow Statement (\$m)	FY2021a	FY2022a	FY2023a	FY2024a	FY2025a	FY2026e	FY2027e	FY2028e	FY2029e	FY2030e
EBITDA	(261)	65	337	517	500	570	603	627	633	630
Working capital	79	(24)	136	(54)	(24)	(44)	(2)	(1)	(0)	(0)
Net interest	(258)	(295)	(394)	(392)	(619)	(491)	(485)	(487)	(471)	(411)
Other CFO	26	(22)	(24)	(0)	(4)	(13)	5	5	6	7
Addition of PPE	(54)	(69)	(87)	(84)	(83)	(81)	(80)	(80)	(80)	(80)
FCF (company definition)	(469)	(345)	(31)	(14)	(229)	(59)	40	64	88	146
Other cash movements	(26)	168	(117)	94	(677)	(242)	80	-	(374)	205
Change in cash and cash equivalents	(495)	(177)	(148)	81	(906)	(301)	120	64	(286)	351
BERN FCFF	(257)	(53)	448	387	395	434	510	531	532	517
FCFF yield	-3.9%	-0.9%	7.8%	6.8%	10.1%	10.0%	11.6%	12.1%	12.1%	12.0%
BERN FCFE	(515)	(348)	54	(5)	(224)	(57)	25	44	62	106
FCFE yield	-18.7%	-16.2%	3.5%	-0.3%	-42.0%	-6.7%	2.6%	4.3%	5.6%	8.9%

Source: Company reports, Bernstein estimates and analysis

DISCLOSURE APPENDIX

I. REQUIRED DISCLOSURES

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VALUATION METHODOLOGY**Amadeus IT Group, SA**

Our price target of €75 is set at 20.1x our 2027 EPS estimate of €3.7

Sabre Corp

Our price target of \$1.75 is set at 7.0x EV/EBITDA on our 2027 EBITDA forecast of \$603m.

RISKS**Amadeus IT Group, SA**

Downside risks to our Amadeus target price include:

- Weaker-than-expected airline industry passenger and booking growth
- Faster-than-expected growth of direct distribution among airlines that use indirect distribution (principally full-service carriers)
- Increased success of alternatives to GDSs, such as direct connections between airlines and travel agents and non-GDS aggregators
- A major airline customer leaves the Altéa or Navitaire PSS for a competitor solution

Sabre Corp

Upside risks to our Sabre target price include:

- Faster-than-expected airline industry passenger and booking growth
- Slower-than-expected growth of direct distribution among airlines that use indirect distribution (principally full-service carriers)
- A major airline customer joins the Sabre PSS

Downside risks to our Sabre target price include:

- Slower-than-expected airline industry passenger and booking growth
- Faster-than-expected growth of direct distribution among airlines that use indirect distribution (principally full-service carriers)
- Rising success of alternatives to GDSs, such as direct connections between airlines and travel agents and non-GDS aggregators

- A major airline customer leaves the Sabre PSS

RATINGS DEFINITIONS, BENCHMARKS AND DISTRIBUTION

EQUITY RATINGS DEFINITIONS

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The Bernstein brand rates stocks based on forecasts of relative performance for the next 12 months versus the S&P 500 for stocks listed on the U.S. and Canadian exchanges, versus the Bloomberg Europe Developed Markets Large and Mid Cap Price Return Index EUR (EDME) for stocks listed on the European exchanges and emerging markets exchanges outside of the Asia Pacific region, versus the Bloomberg Japan Large and Mid Cap Price Return Index USD (JPL) for stocks listed on the Japanese exchanges, and versus the Bloomberg Asia ex-Japan Large and Mid Cap Price Return Index (ASIA) for stocks listed on the Asian (ex-Japan) exchanges -unless otherwise specified.

The Bernstein brand has three categories of ratings:

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Not Rated: A rating assigned when the stock cannot be accurately valued, or the performance of the company accurately predicted, at the present time. The covering analyst may continue to publish research reports on the company to update investors on events and developments.

Not Covered (NC) denotes companies that are not under coverage.

Bernstein brand stock ratings are based on a 12-month time horizon.

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The Autonomous brand rates common stocks as indicated below. As our benchmarks we use the Bloomberg Europe 500 Banks And Financial Services Index (BEBANKS) and Bloomberg Europe Dev Mkt Financials Large and Mid Cap Price Ret Index EUR (EDMFI) index for developed European banks and Payments, the Bloomberg Europe 500 Insurance Index (BEINSUR) for European insurers, the S&P 500 and S&P Financials for US banks and Payments coverage, S5LIFE for US Insurance, the S&P Insurance Select Industry (SPSIINS) for US Non-Life Insurers coverage, and the Bloomberg Emerging Markets Financials Large, Mid and Small Cap Price Return Index (EMLSF) for emerging market banks and insurers and Payments. Ratings are stated relative to the sector (not the market).

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- Neutral (N): Stock will perform in line with the market index to within +/- 10 pp
- Underperform (UP): Stock will trail the performance of the relevant index by more than 10 pp

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Not Rated: A rating assigned when the stock cannot be accurately valued, or the performance of the company accurately predicted, at the present time. The covering analyst may continue to publish research reports on the company to update investors on events and developments.

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Autonomous credit ratings are based on a 6-month time horizon.

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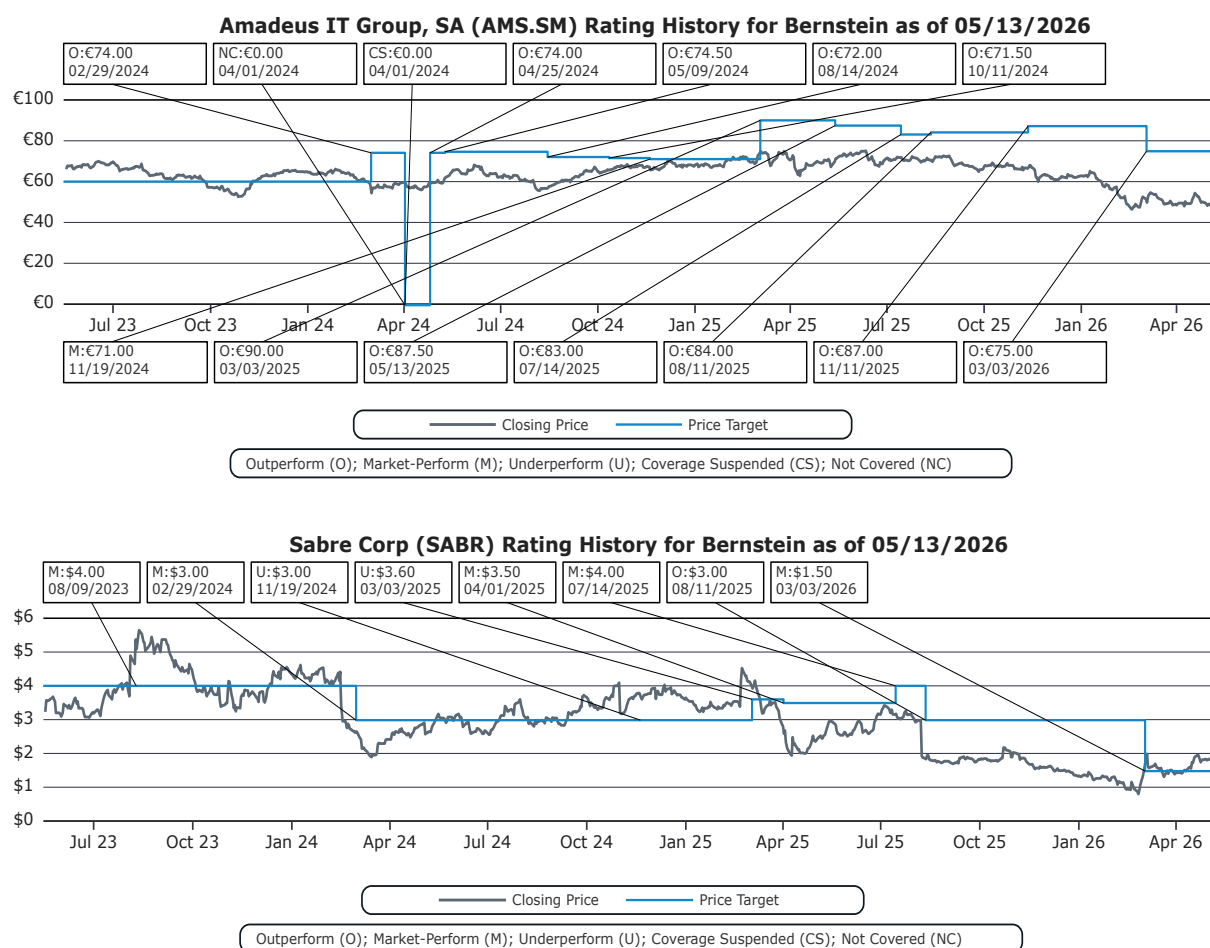
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Underperform	SELL	12.6%	14.9%

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